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Stay long enough, and your SIP cannot fail

P2

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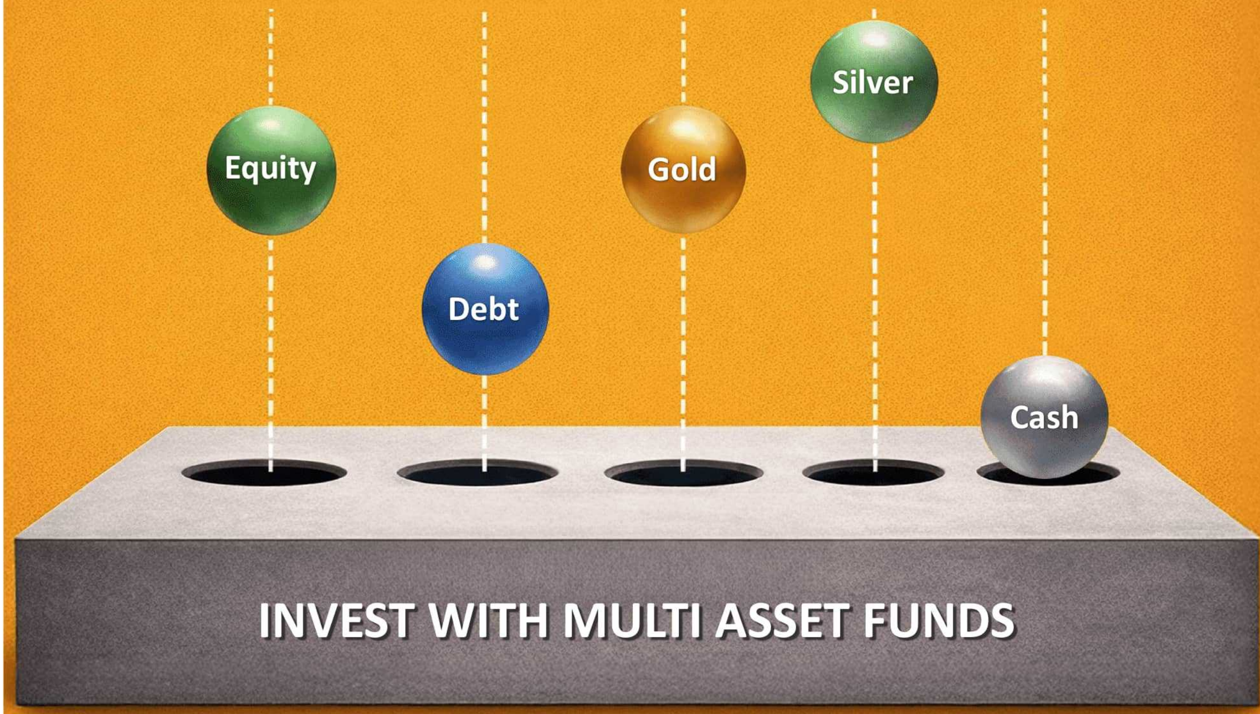

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THE *ET WEALTH*-CRISIL STUDY 2026

TO SIP OR NOT TO SIP

Real investors, real crises —and the true cost of walking away. P4

INTERNATIONAL FUNDS SOAR, BUT ACCESS LIMITED P8 THE FINE PRINT OF 'TWO-HOUR' COVERS P12

Do SIPs work?

Stay long enough, and your SIP cannot fail. Here's the proof

A 10-year SIP investor has zero chance of losing money, while a 4-year investor has an 80% probability of earning over 10%. The *ET Wealth*–Crisil SIP Study 2026 crunches the numbers—and this year, puts them through a market crash.

by **Kayezad E. Adajania**

Did you know that if you continued your Systematic Investment Plan (SIP) for at least 10 years, there is no way you could lose money? Often, we find ourselves starting our mutual fund (MF) investments by contributing a fixed amount every month through SIPs, but our schemes don't seem to be delivering returns. Or worse, they've not made money. Of the 295 actively managed, diversified equity schemes with a two-year track record, 26% haven't made any money in the last two years if you had started your SIP then, according to ACE MF data. Nearly 54% have failed to beat 5% returns. Just 1% of schemes have made returns in excess of 10% if you had started your SIP two years back.

But SIPs reward patience. Over the long term, how long you stay invested matters more than picking the perfect scheme, as per an all-new, *ET Wealth*–Crisil SIP Study 2026. Every year, the *ET Wealth*–Crisil SIP study runs the numbers across all equity funds, with one objective: to show the true power of SIPs and, more importantly, how to benefit from them.

Only diversified, actively-managed equity schemes with a continuous NAV history dating back to at least 1 January 2011, have been included in the study. SIP tenures range from 1 year to 10 years. This year, we've added a new dimension to our study: how a market crash impacts your SIP and, therefore, how long you need to continue your SIP to soften the blow of a market crash.

Will you lose money?

It is widely known that equity markets do not assure returns. But the probability of making a loss goes down as your tenure goes up. The study shows that if you do a 1-year SIP, the probability of a negative return is 22.7%. In simple words, you could lose money 22.7% of the time. The good news is that the probability decreases with tenure. After 6 years, the chances that you make a loss in SIP come down to below 2%. And if you stay invested for 10 years, the chances of a loss are zero.

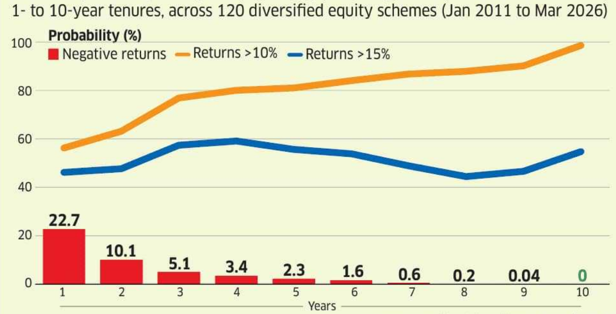
But avoiding losses is not the reason you invest in an SIP. The question is: will my SIP work? Let's assume a 10% return is a reasonable worst-case expectation from an equity fund. How long does it take to earn 10% through an SIP? The probability of generating more than 10% SIP returns exceeds 80% from the 4-year tenure onwards and rises to 98.6% for 10-year SIPs, indicating strong return consistency over longer horizons.

The average SIP returns also stabilise at around 15% beyond the 5-year mark. This suggests that longer holding periods do not necessarily deliver higher returns, but they do reduce the variation in outcomes. Here's the clincher: over a 10-year SIP period, the minimum return earned was 7%—the worst-case outcome.

In reality, how many investors stay invested for 10 years? "Barely one-third of investors stay with the exact same SIP for a full decade without any interruption," says Mumbai-based Vinod Jain, principal adviser, Jain Investment Planner. But investors exiting may not necessarily move out of MFs entirely; they could also switch to other funds. Kirttan Shah, Founder & CEO of Truvanta Wealth, says (of his own clients) that if you include those who paused or switched funds along the way but stayed on the SIP journey, the number jumps to 80%. Jain's own estimate is a broad 50-60%, if switchers are included. Prabin Agarwal, a Siliguri-based MF distributor, says that just 18% of his firm's SIPs run for more than 10 years. That's a sobering fact coming from a ground-level, yet top distributor in a small city. The truth is, very few investors run a perfectly uninterrupted SIP for 10 years, but many more stay in the game in some form. The reasons are a familiar mix: market corrections that test patience, life events that drain cash flow, and the very human urge to do something—anything—when a portfolio turns red. Agarwal of Siliguri sums it up simply: completing 10 years in an SIP, he says, is more about behaviour and discipline than about returns alone.

The longer you stay, safer you get

Probability of losing money and probability of earning above 10% for SIPs across 1- to 10-year tenures, across 120 diversified equity schemes (Jan 2011 to Mar 2026)



Source: ET Wealth-Crisil Intelligence SIP study 2026

Returns to realistically expect

The study shows that you stand at least an 80% chance to earn more than 10% returns, if you stay invested for at least 4 years. Interestingly, our study shows that the chances of earning at least a 15% return peak around the 4-5 year mark, after which they taper off slightly. This shows that a long tenure is not necessarily the route to higher returns; it is the path to the most reliable outcomes.

Want a shot at earning a 20% return, at the bare minimum? Our study shows that the probability of generating such high returns falls sharply as SIP tenures increase. The chances of earning over 20% are the highest for 1-year SIPs, at 37.8%. If you continue your SIP for 10 years, your chances of earning at least 20% return drop to 8.9%. Long tenures are about consistency, not fireworks. If you have been in the equity markets for a few years and have seen strong returns, that experience is unlikely to last forever.

Does that mean investors who stay longer are essentially trading peak return potential for consistency and safety—and is that a

Ride out the storm, and time does the rest

How SIPs across 120 equity schemes behaved during the 2020 Covid crash–from the deepest falls to the quickest recoveries–and where they stood by March 2026 for investors who stayed invested.

SIP started (Before phase)	Avg return just before crash (13 Feb 2020) (A)	Avg return at the crash point (23 Mar 2020) (B)	How much returns fell–in percentage points (A-B)	No. of schemes that stayed positive (as on 31 Mar 2020)	Avg days to recover to +ve returns (from Mar 2020)	Avg days to recover to 10% returns (from Mar 2020)	Avg returns as on 31 Mar 2026
1-year (on 1 Mar 2019)	16.30%	-50.30%	**66.60**	0	122	185	**12.70%**
2-year (on 1 Mar 2018)	8.70%	-30.40%	**39.00**	0	129	230	**12.70%**
3-year (on 1 Mar 2017)	6.80%	-20.90%	**27.70**	0	124	256	**12.30%**
4-year (on 1 Mar 2016)	8.70%	-13.10%	**21.80**	0	85	252	**12.50%**
5-year (on 1 Mar 2015)	8.90%	-8.80%	**17.70**	1	61	258	**12.40%**
6-year (on 1 Mar 2014)	9.90%	-4.90%	**14.80**	6	34	247	**12.50%**
7-year (on 1 Mar 2013)	12.20%	-0.60%	**12.70**	55	13	194	**13.20%**
8-year (on 1 Mar 2012)	13.00%	1.90%	**11.00**	88	6	165	**13.50%**
9-year (on 1 Mar 2011)	13.20%	3.50%	**9.70**	108	2	152	**13.50%**

Returns are measured as XIRR (extended internal rate of return) which factors in the timing and amount of each SIP investment to give true picture of actual returns earned.

Source: ET Wealth-Crisil Intelligence SIP study 2026

trade-off most investors understand they are making? "Yes, there is a trade-off, but it is often the right one for most investors," says Piyush Gupta, Director, Crisil Intelligence. "The highest return periods are usually the hardest to identify in advance, while longer holding periods tend to offer a better mix of consistency, discipline and downside comfort. In investing, catching peaks and troughs are extremely difficult goals. Staying invested long enough to let the process work is the optimal path. Further, a longer investment horizon enables compounding benefits to kick in and enhance wealth creation."

There are exceptions. Small-cap funds have a 41.8% chance of earning you at least 20% returns if you continue your SIPs for 10 years. Mid-cap funds have a 17.3% chance of generating returns in excess of 20%. In sharp contrast, large-cap funds have virtually no chance of delivering such returns over a 10-year period. The large-cap fund category is the steady, defensive option with an average 10-year return of around 13.5%.

"A bit lower return earned consistently is often more valuable than a higher-return strategy that investors are unable to stick to over the long term," says Aditya Agarwal, Co-founder of Wealthy.in, a wealth management platform of mutual fund distributors.

How bad is a market crash?

Numbers about long-term returns, however reassuring, tell you nothing about what the journey actually feels like when markets crash. That is the question this year's study sets out to answer for the first time. This year's study evaluates the behaviour of SIP portfolios during a sharp market-correction phase (Covid in 2020), focusing on drawdowns and recovery patterns.

The study examines investors who had been running SIPs for 1 to 9 years already when Covid-19 hit. As we always say, this study assumes that investors didn't stop their SIPs during the pandemic-led market crash and continued thereafter. Essentially, the study checks two things:

Recovery to 0%: How long before your SIP stops losing money, the moment your returns crawl back above zero after a crash?

Recovery to 10%: How long before your SIP gets back to doing what you hoped it would—earning a return worth talking about. Zero is relief; 10% is when you start feeling good.

The data also tracks where each portfolio stood by March 2026—six years after the crash—for those who simply stayed put.

Here is what it shows. Unlike the rolling returns analysis earlier, which captures all market conditions across 15 years, this section zooms in on one specific crash—which is why even long-tenure investors felt some pain here. One-year SIP investors saw the average return crash to -50.3% at the trough (on 23 March 2020), a fall of 66.6 percentage points from its level just before the crash. The pain eased with longer holding periods: 2-year SIPs fell to -30.4%, 3-year SIPs to -20.9%, 4-year SIPs to -13.1%, and 5-year SIPs to -8.8%. By the sixth and seventh years, the damage had largely been contained, with returns at -4.9% and -0.6%, respectively. Remarkably, most 8 and 9-year SIP investors remained in positive territory even at the market's lowest point. How long does it take to be back to above zero after the crash? It took 122 days for 1-year investors to get back above zero. For 9-year investors to return to positive territory, it took just 2 days.

The data reveals something beyond just returns. An investor sitting at -50% return during a crash is in deep financial pain—and far more likely to panic and stop. An investor who has been at it for seven or more years barely felt the crash. Time in the market, it turns out, doesn't just protect your returns. It protects your behaviour when it matters most. "When your portfolio shows 12% and markets crash and it becomes 9-10%, you don't see a significant impact and might not panic. But when you're a new investor, and your portfolio shows a minus, behaviourally you don't want to stay invested," says Shah of Truvanta Wealth. The beauty of compounding, explains Hanoz Patel, Co-founder and Partner, PowerPusher Financial Services LLP, is that it kicks in after the 6th and 7th year. "Even if a crash happens then, you're cushioned," he adds. Patel observes that youngsters and first-time salaried investors are often more prone to stop their SIPs due to peer pressure and the urge to spend. Agarwal of Wealthy.in contradicts slightly: "While long-tenure SIP investors are financially better positioned during market crashes, investor behaviour does not always reflect that comfort. Even experienced investors often react emotionally during sharp corrections, though they generally recover discipline fast."

Shalab Gupta, Founder & CEO of Bibhab Capital, an Agra-based MF distribution firm, says many investors are willing to stay invested as long as they remain in the overall profit zone. "But when capital starts going down, loss aversion hits more strongly," he adds. The problem is that most investors don't know their 'years invested' number off the top of their head. Gupta of Crisil says that 'the number of years invested' should become a standard metric that platforms and distributors regularly communicate to investors, as they do returns. "Returns tell you what happened, while the years invested tell you whether the strategy had enough time to work. For SIP investors, tenure is a far more useful conversation starter than short-term performance. That is because it helps set realistic expectations undergirded by patience, while riding through volatility and economic cycles and allowing the compounding effect to manifest."

The only number that matters

Fifteen years of rolling data across 120 schemes, across bull runs and crashes and everything in between, produces a remarkably consistent answer to one simple question: how long is long enough? The experts broadly agree on somewhere between 7 and 10 years—though Agarwal of Wealthy.in says 10 years, Crisil puts the floor at 5 years as a pragmatic starting point but notes that real stability only kicks in after 7-8 years, and Prabin Agarwal points out that since SIP money gets invested gradually, even a 10-year SIP has its average rupee working for only about 5 years, making a longer commitment more meaningful.

That's not the complicated answer. The complicated part, as the investors in the next story (*What really happens when life and markets push you to stop your SIPs,* P 4) know, is actually doing it.

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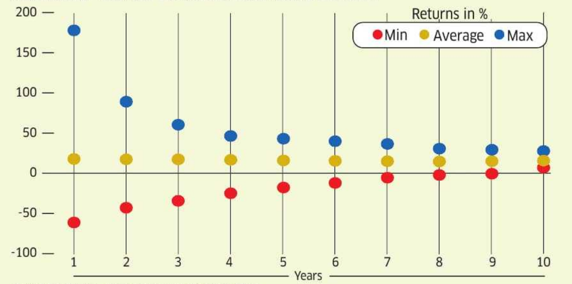
Longer the wait, narrower the gap

As tenure increases, the difference between the best and worst SIP outcomes shrinks dramatically. What you earn becomes far more predictable.



Source: ET Wealth - Crisil Intelligence SIP study 2026

How long before your SIP is guaranteed to make money?

Minimum number of years an investor needs to stay invested in each equity fund category to eliminate any chance of a loss, based on historical data from January 2011 to March 2026.

SIP period to positive returns

7+ years	8+ years	9+ years
Mid cap	Large cap	All equity
	Multi cap	Flexi cap
	Small cap	Large & mid cap
	ELSS	Focused

Source: ET Wealth-Crisil Intelligence SIP study 2026

What really happens when life and markets push you to stop your SIPs

From a cancer diagnosis in Kolkata to a layoff in Bengaluru to Covid panic in Agra—real investors, real crises, and the real cost of walking away.

by **Kayezad E. Adajania**

In November 2025, Kolkata-based diagnostics centre founder Arup Kumar Samanta, 62, was diagnosed with tongue cancer. At the time, he was investing ₹29,000 every month in equity mutual funds through Systematic Investment Plans (SIPs). Even after surgery, partly funded by health insurance, and 30 radiation sessions, he did not stop a single SIP. Five months on, he tells us over the phone from Kolkata—still struggling to speak, but with spunk in his thoughts and composure—that since his business income is ongoing, stopping his SIPs never crossed his mind.

Every year, *ET Wealth* partners with Crisil to bring you an empirical study on why staying the course with your SIPs pays off — and what it costs you when you don't. Numbers tell one part of the story. The more interesting part is what real people actually do when life or markets test their conviction. This story travels across India to meet two kinds of investors: those who kept their SIPs going despite personal crises, like Samanta, and those who stopped when markets turned volatile.

The ones who held

Tragedy can strike in many ways. For Bengaluru-based Jagan Mohan K.B., 41, it came in December 2025, when he lost his job. Until then, he had been investing ₹2.4 lakh monthly in SIPs. With guidance from his financial planner, Wealthy.in, he chose not to stop SIPs entirely, but optimise them instead. SIPs linked to long-term goals were paused, while those funding essentials such as his emergency corpus were retained. His monthly SIP outflow dropped to ₹70,000—still a sizeable amount.

Jagan's ability to adapt to uncertainty was shaped early in life. In February 1998, when he was a teenager, his hometown of Coimbatore was hit by a series of 13 bomb blasts. His father's business collapsed, plunging the family into financial distress.

Things improved in 2005 when Jagan secured a job at Tata Consultancy Services (TCS) through a highly competitive selection process. But with a modest starting salary, he began looking for additional income streams and got drawn into a popular multi-level marketing (MLM) company in South India. Initially, the money flowed. His lifestyle improved and spending became reckless. Soon, he was juggling 30 credit cards, five personal loans, and debt exceeding ₹30 lakh. At the same time, his father—still rebuilding after the 1998 setback—had turned to equity day trading. With markets booming in 2006 and 2007, the family, in different ways, had become leveraged to a future no one saw coming.

Then came 2008. The global financial crisis wiped out his father's equity day trading portfolio and brought down the MLM company Jagan was associated with. The episode taught him the importance of disciplined saving. Ironically, his next attempt at "regular investing" was through a chit fund run by his uncle, at a time when chit funds were largely unregulated. Meanwhile, an overseas posting with TCS in Malaysia helped him repay his debt through favourable currency arbitrage. But more hard lessons followed after his father's death, when his savings were depleted again and his health insurance fell short. That became a turning point. With the help of a financial planner, he mapped his goals, structured his SIPs, and strengthened his insurance cover.

He bought health and term insurance, and began investing through SIPs. By the time he lost his job last year, he was financially well prepared: debt-free, adequately insured, with savings set aside for his children's higher education, and in the habit of investing nearly 50% of his salary—about ₹2.4 lakh a month—through SIPs. So when layoffs cost him his role, he reduced his SIP contributions but did not stop them entirely. Though still between jobs, he has since started a consulting firm advising startups, and continues to invest ₹70,000 a month through SIPs.

Elsewhere, Aditya Chandra, a 36-year-old chartered accountant, gave up his credit card last year, believing it encouraged unnecessary spending. Keen to build wealth without relying on loans, he met his financial planner in 2022, who advised him to shift from multiple fixed deposits to mutual funds. At the time, Chandra was unhappy with his job in Gurugram because he felt he wasn't getting compensated enough. A strong financial plan and disciplined investing gave him the confidence to switch jobs and move to Mumbai, despite its higher living costs. By October 2025, his SIP investments had peaked at ₹85,000 a month. Later, he reduced them to ₹60,000, redirecting some money towards an emergency fund instead of stopping investments altogether.

Now settled in his new job, he invests ₹1 lakh every month in mutual funds through SIPs. "Having investments and putting money regularly gives you the backing to stay strong in bad times," says Chandra.

The question is: is partial continuation significantly better than a full stop, or is the gap small? "It depends from situation to situation, but in principle, investing something is better than nothing, because you are still getting units at a cheaper rate. It's like if your business isn't going well, you don't shut it down, right?" says Shalab Gupta Bibhab, Founder & Chief Executive Officer, Bibhab Capital, an Agra-based mutual fund distributor (MFD). "When you continue your SIPs-even with reduced amounts, you are still in the ecosystem, your distributors are

ARUP KUMAR SAMANTA, 62
Kolkata, Diagnostics centre founder

"If my income is going on, I should continue my SIP."

SIP amount: ₹29,000/month
Investing since: 2007
Crisis: Tongue cancer, diagnosed November 2025; 30 radiation treatments
Goals: Retirement, children's education, two flats in Kolkata; all funded or in progress
Why he didn't stop: Business income was unaffected; insurance covered most surgery costs; stopping never made financial sense
SIPs missed: Zero

still in touch with you, the support, advice and guidance still continues. If you stop completely, you might just fall off the grid and lose touch," says Prabin Agarwal, a Siliguri-based MFD.

What Amfi data shows

The SIP contributions in the Indian MF industry continued to scale new heights in March, with inflows crossing ₹32,000 crore mark for the first time. This, despite the S&P BSE Sensex losing 11.5% in March 2026. To be sure, most SIPs entering the MF industry are invested in equity funds. In March, equity funds saw net inflows (more money came in than went out) for the 61st consecutive month, totalling ₹40,450 crore. Despite markets in turmoil due to the West Asia crisis, investors continued to invest in equities. Equity funds' assets under management stood at ₹31.98 trillion as of the end of March 2026, up by 8.6% from a year back.

The bad news is that in March, more SIPs were closed than opened. A total of 52.82 lakh new SIPs got registered, and 53.38 lakh SIPs were terminated, as per the Association of Mutual Funds of India (Amfi; the MF industry's trade body). In simple words, for every 100 SIPs that got started, 101 SIPs got terminated.

The ones who stopped

Agra-based telemarketer Muskan Rathore, 23, began investing in December 2019, just before the Covid-19 pandemic. The eldest of three sisters, she worked alongside her studies at a private college to support herself, and her family. Her first SIP was ₹ 5,000 a month.

But when markets crashed during the pandemic and lockdowns began, she panicked—first pausing her SIPs, then withdrawing all her investments. By the end of 2020, however, the Sensex had surged 83%. "I missed the best phase of my life. Had I stayed invested, my money would have grown significantly," she says. She stayed away from markets for nearly three years before deciding to return. In 2024, with the help of Agra-based mutual fund distributor Bibhab, she restarted investing with a ₹3,000 monthly SIP. "I stopped tracking my portfolio, stopped watching YouTube videos, and avoided WhatsApp groups where markets were being noisily dissected every minute.

MUSKAN RATHORE, 23
Agra, Telemarketer

"I missed the best phase of my life. Had I stayed invested, my money would have gone up significantly."

First SIP: **₹5,000**/month (Dec 2019)

Stopped: 2020 Covid crash; withdrew all money

Time out of markets: Nearly three years

SIP now: **₹6,000**/month across four funds including gold and silver

Goals: Own home for parents, funding two younger sisters' education, building a corpus for SWP later

Why she stopped: Panicked seeing her NAV fall; didn't understand markets well enough at the time

Regret: Yes; Sensex jumped 83% in the year she sat out

But I started learning and tracking markets," says Rathore, who says she was happy to finally see the '+' sign in her portfolio. Rathore's growth as an investor is evident; she topped her SIPs twice and started a new SIP. Today, she invests ₹6,000 every month, including a scheme that invests in gold and silver to diversify across asset classes.

Rathore regrets stepping away from the markets, but says the experience taught her valuable lessons. "Fix your goals and don't fear equity markets. Just leave your portfolio alone—Kumbhakarna *ho jao*," she says, referring to the *Ramayana* giant who slept for months at a stretch.

MADHU NAYAK, 53
Mumbai, Merchant navy officer

"I found there were other avenues. I thought I could diversify."

SIP when active: **₹1 lakh**/month

Stopped: January 2022

Why he stopped: Found better returns in currency futures and FCNR deposits (up to 10.25%)

Corpus today from the SIP he stopped: **₹46.68 lakh**

Estimated corpus if SIP had continued: **₹1.17 crore**

Opportunity cost: Roughly **₹70 lakh**

Regret: None

Mumbai-based mariner Madhu Nayak, 53, however, has no regrets about stopping his SIPs. An active market watcher and member of 16 WhatsApp groups with fellow mariners, Nayak had been investing ₹1 lakh a month through a SIP started in April 2020. He stopped fresh investments in 2022, though he did not redeem his corpus. Instead, he shifted fresh surplus money to currency futures, which he still considers safer. The mutual fund investment he stopped contributing to is worth around ₹46.68 lakh today.

The arithmetic is hard to ignore. From January 2022 to April 2026, 52 monthly instalments of ₹1 lakh each (₹52 lakh) were never deployed. Back-of-the-envelope calculation shows that had he invested that money in his scheme at a conservative mid-point Net Asset Value (NAV), Nayak would have accumulated roughly 1.73 lakh additional units worth ₹69.8 lakh today, bringing the total to over ₹1.17 crore.

Siliguri-based tea plantation owner Sanjay Mittal, 60, first stopped his SIPs when Covid struck in 2020 because equity markets had fallen. He had started his SIPs in 2015. He eventually withdrew his MF investments and deployed the money in his tea business. "I found a better option in my own business. I felt that if I invested there, I could develop my business further," he said. He came back to investing in MFs through SIPs in 2021. Mittal shows no remorse for stopping and withdrawing from his SIPs, saying that most of his financial goals have been met. His story shows that a quitter's decision isn't always irrational.

But what about those who make a considered exit, not a panic one, but still left significant gains on the table? "Every investor who exits makes the best decision they can with the information and emotions they have at that moment. But equity deserves the same patience we instinctively give to real estate or gold. Give compounding enough time, and the wealth it creates can genuinely surprise you," says Aditya Agarwal, Founder, Wealthy.in.

ADITYA CHANDRA, 36
Mumbai, Chartered Accountant

"Having investments and putting money regularly gives you the backing to stay strong in bad times."

SIP before job change: **₹85,000**/month

SIP during transition: **₹60,000**/month

SIP now: **₹1 lakh**/month

Crisis: Unhappy at job, relocated from Gurugram to Mumbai

What he did: Reduced SIP, not stopped; redirected idle fixed deposit money into SIPs

Goals: Retirement, own house, wealth creation, zero loans

Why he didn't stop: Saw weak FD returns (6% pre-tax, barely above inflation) as wasted money; SIPs offered better long-term value

The chosen path

Back to Arup Kumar Samanta in Kolkata. He is six months out of surgery, recovering his voice, running his diagnostic centre, and still contributing to his SIPs every month. Over the years, he has built a financial cushion around his family: two flats, SIPs for himself and his wife, and a son who now invests on his own. "If my income is going on, I should continue my SIP," he says simply. Samanta's story underlines a truth data cannot capture: that the real reason to stay invested has less to do with markets and everything to do with what—and who—you are investing for.

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JAGAN MOHAN K.B., 41
Bengaluru, Product manager turned startup consultant

"The opportunity cost of missing those returns will be greater than what I would earn once I come back."

SIP amount at peak: **₹2.4 lakh**/month

SIP after layoff: **₹70,000**/month

Crisis: Laid off December 2025, no notice

Emergency fund runway: 12 months

Goals: Child's higher education (already funded), retirement, debt-free living

What he did: Stopped long-term growth SIPs, retained expense-linked SIPs; drew living expenses from emergency corpus

Why he didn't stop entirely: Knew the opportunity cost of sitting out the market would exceed any short-term savings

Individuals may change, processes stay consistent.

Tried and tested processes are fundamental to an organisation's success, as they clearly define how things are done. That's why it is imperative to choose an investment manager backed by strong processes, not just by competent individuals.

Strong processes and risk management help you achieve your goals steadily and sustainably.

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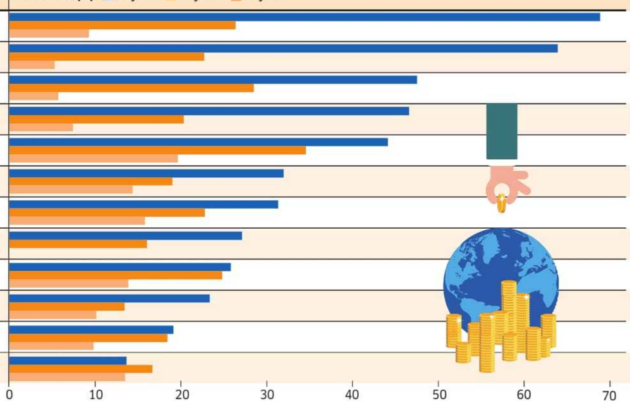
International funds soar, but access remains limited

Over the past year, international mutual funds have delivered stellar returns, with China, emerging markets, technology and global thematic strategies leading the charge. Yet, investment restrictions imposed on overseas exposure limits continue to constrain fresh inflows. While SIPs remain largely open, lump-sum investments are still restricted in many schemes.

Funds open for investments

	Investment status: SIP	Investment status: Lump sum
Edelweiss Emerging Markets Opportunities Equity Offshore Fund	✓	×
Edelweiss Greater China Equity Off Shore Fund	✓	×
PGIM India Emerging Markets Equity Fund	✓	×
Franklin Asian Equity Fund	✓	✓
Edelweiss US Technology Equity Fund Of Fund	✓	×
Edelweiss US Value Equity Offshore Fund	✓	×
Edelweiss Europe Dynamic Equity Offshore Fund	✓	×
PGIM India Global Select Real Estate Fund	✓	×
Franklin U.S. Opportunities Equity Active Fund Of Funds	✓	✓
Edelweiss Asean Equity Off Shore Fund	✓	×
PGIM India Global Equity Opportunities Fund	✓	×
Baroda BNP Paribas Aqua Fund	✓	✓



Note: Fund investment status as on 21 May 2026. For Edelweiss Mutual Fund schemes, maximum systematic investment plan (SIP/)systematic transfer plan (STP) of ₹5,000; for PGIM Mutual Fund schemes: maximum SIP/STP of ₹2,00,000; for Franklin Mutual Fund schemes, maximum ₹5,00,000 lump sum and maximum ₹50,000 SIP/STP.

Returns by geographies (in %)

China and Taiwan

	1-year	3-year	5-year
Nippon India Taiwan Equity Fund	195.7	59.7	-
Edelweiss Greater China Equity Offshore Fund	62.5	21.6	4.3
Axis Greater China Equity FoF	53.7	19.1	5.1
Nippon India ETF Hang Seng BeES	27.1	18.8	6.1

US

	1-year	3-year	5-year
Motilal Oswal Nasdaq 100 FOF	82.2	42.1	27.1
DSP US Specific Equity Omni FoF	58.9	28.0	19.5
Motilal Oswal Nasdaq Q50 ETF	52.8	27.4	-
Navi Nasdaq100 US Specific Equity Passive FoF	51.8	34.6	-

Europe

	1-year	3-year	5-year
Invesco India - Invesco Pan European Equity FoF	37.69	18.44	14.03
Edelweiss Europe Dynamic Equity Offshore Fund	30.25	21.77	14.84

Emerging markets

	1-year	3-year	5-year
Edelweiss Emerging Markets Opportunities Equity Offshore Fund	68.9	26.4	9.3
HSBC Global Emerging Markets Fund	67.5	28.1	11.7
Kotak Global Emerging Market Overseas Equity Omni FoF	60.4	26.2	11.1
PGIM India Emerging Markets Equity FoF	47.5	28.5	5.7

Global thematic/sectoral

	1-year	3-year	5-year
DSP World Gold Mining Overseas Equity Omni FoF	106.3	46.8	22.5
DSP World Mining Overseas Equity Omni FoF	99.7	26.0	16.3
ICICI Prudential Strategic Metal and Energy Equity FoF	88.3	32.7	-
Mirae Asset Global Electric & Autonomous Vehicles Equity Passive FoF	88.0	21.6	-

Note: This is not an exhaustive list; returns as on 19 May 2026 and based on top performers within the category. **Source:** Value Research

Debt funds

Time to dump long-duration bond funds?

The RBI's rate-cut cycle is behind us. Experts foresee 50–75 bps of hikes. Your bond portfolio needs to reflect that.

by **Sanket Dhanorkar**

The world remains mired in chaos and uncertainty. This anxiety now reflects starkly in the bond yields. The yield on the 30-year US Treasury bond recently jumped to 5.2%—its highest since 2007. In India, the yield on the benchmark 10-year government bond has jumped from 6.6% to 7.1% in three months. Long-term yields rise when investors demand a higher return for holding bonds. This is compensation for the loss of purchasing power from higher expected inflation.

The West Asia conflict and the continued blockade of the Strait of Hormuz have become severely destabilising, stoking global inflation risks.

How should bond investors position themselves?

From rate cuts to rate hikes

When the Reserve Bank of India (RBI) initiated its much-anticipated rate cuts in early 2025, it seemed like bonds were set for a prolonged spell of gains. When interest rates fall, bond prices rise. But after front-loading rate cuts by June 2025, the RBI quickly pivoted to a neutral stance, signalling limited room for further cuts. After a final 25-basis points (bps) rate cut in December, the central bank ended the year with a cumulative easing of 125 bps (one basis point is one-hundredth of a percentage point). It has since kept rates unchanged, keeping a wary eye on significant developments globally.

Domestically, while inflation has so far remained contained, continued disruptions to critical supply chains threaten to send prices soaring. The rising crude oil bill is likely to widen India's current account deficit (CAD), contributing to a steadily weakening rupee. Forecasts of uneven or sporadic monsoon pose additional risk to inflation. This build-up of a 'perfect storm' has effectively shut the door on any rate cuts in the near future.

Kunal Valia, Founder and Compliance Officer of StatLane, a Sebi-registered research analyst, says, "At this stage, the rate easing cycle appears largely complete. Going forward, a combination of domestic and global factors is likely to keep bond yields elevated and limit the scope for any meaningful decline."

With markets adjusting to higher inflation expectations, Valia reckons bond yields will remain broadly range-bound, albeit with a mild upward bias. The 10-year government bond yield is likely to trade in the 6.9–7.3% range over the coming quarters.

Experts suggest rate hikes could happen sooner than expected.

"The RBI is likely to hike rates as well imminently," believes Vishal Goenka, Co-Founder, Indiabonds.com. If the current situation persists, the path of least resistance would be for the regulator to hike rates sooner than expected, insists Suyash Choudhary, Head–Fixed Income, Bandhan Mutual Fund. "With average Consumer Price Inflation (CPI) for the current financial year likely to be in the 5–6% band, it almost automatically follows that the RBI will have to undertake some rate hikes."

As a base case, one should expect hikes of 50-75 bps over the course of the rest of this fiscal year, according to Choudhary.

What to do now

Given the volatility and uncertainty stemming from macro factors, Goenka maintains that a higher allocation to fixed income would help investors buffer against economic slowdowns. Before the war began, bond markets globally were still hopeful of rate cuts by central banks. The length of the disruption has forced a rethink among investors and fund managers alike.

Specifically, taking duration risk is turning unfavourable. This refers to moving to longer tenure bonds, which are more sensitive to interest rates. After initially adding duration risk on the market's aggressive pricing on rate hikes, Bandhan Mutual Fund has shifted its stance. "Reflecting the evolving dynamics, we have again gone underweight duration across a host of our funds (subject to individual mandates and positionings)," indicates Choudhary.

The absence of a clear and sustained rate-cut cycle has reduced the effectiveness of aggressive duration strategies, making accrual-oriented portfolios better suited to this phase, according to Axis MF in a note. "Against this backdrop, discipline matters more than directional rate calls. Allowing accrual to compound steadily is often more effective than reacting to short-term global or geopolitical developments," it suggests.

At current levels, duration risk seems asymmetrically skewed to the downside, suggests Valia. In contrast, the short-to-medium-end of the yield curve continues to offer attractive accrual opportunities.

Valia adds, "For investors, short-duration funds, corporate bond funds and medium-term debt funds focused on the 2–4 year maturity bucket remain suitable vehicles to build a robust accrual-oriented fixed income portfolio." For investors with a 2–3-year investment horizon, Axis MF suggests that a short-to-medium-duration, accrual-oriented approach, complemented by income-plus-arbitrage strategies, remains appropriate.

On the credit side, selective exposure to high-quality issuers remains favourable. AA+ and AAA-rated corporate bonds, particularly those issued by well-capitalised corporates, non-banking finance companies and public sector entities, continue to offer attractive spreads over comparable government securities, Valia observes. However, he cautions against moving excessively down the credit curve purely in pursuit of higher yields, particularly in an environment where tighter global financial conditions could lead to spread widening and weaker liquidity in lower-rated segments.

The sharp rise in US bond yields presents another interesting option. US Treasury Bond funds earned outsized gains in the past year, outperforming both Indian bonds and equity funds. Valia maintains that US Treasury bond funds continue to offer a reasonable opportunity, particularly at the short end of the curve (1–3-year Treasuries), where yields remain attractive with relatively low duration risk.

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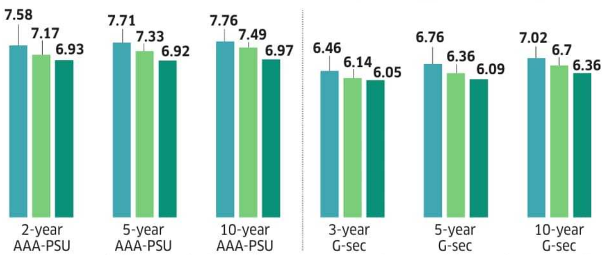
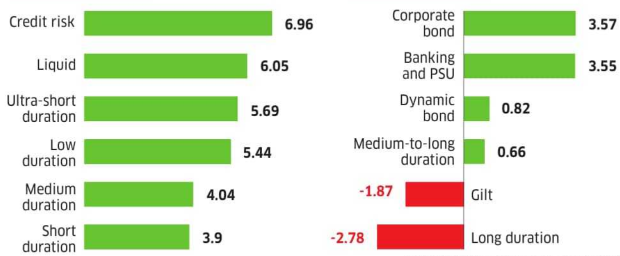
Yields across maturities and instruments have inched up

Yield (%) Current | 3 months ago | 1 year ago



AAA-PSU=Top-rated public sector undertaking bonds; G-sec=Government security; **Source:** Edelweiss MF, data as on 30 April 2026

Accrual strategies have offered superior returns



Source: Advisorkhoj; data as on 19 May 2026

Bonds: Time to reposition portfolios

A storm is coming

- Ongoing West Asia conflict fuels inflation concerns
- Weakening rupee and poor monsoon also add to worries
- Anxiety now reflects in higher bond yields
- Rate easing cycle appears firmly over
- Rate hikes could happen sooner than expected

Where to invest now

- Taking duration risk is turning unfavourable
- Accrual-oriented portfolios better suited for this phase
- Short-duration funds, corporate bond funds, medium-term debt funds focused on 2-4 year maturity bucket
- Selective exposure to high-quality issuers remains favourable
- US Treasury bond funds continue to offer a reasonable opportunity

Airport lounges

Your free airport meal is now pricier

Lounge access now goes beyond simple credit card swiping as lenders increasingly link it to spending behaviour.

AJAY AWTANEY
FOUNDER AND EDITOR, LIVEFROMALOUNGE.COM

The logic is simple: lounge access has become a heavily used perk. Banks earlier assumed that only premium customers or frequent flyers would visit lounges regularly. Instead, many customers signed up purely for lounge access, often with a fee waiver and otherwise using the cards sparingly.

For years, complimentary airport lounge access was the ultimate flex attached to a credit card. One swipe at an airport's lounge reception, and you'd enter a quieter space with hot meals, Wi-Fi, coffee and comfortable seating. Once a premium perk only for affluent travellers, even entry-level cards were soon offering lounge visits to rope in customers.

But the economics of lounge access in India has changed in the last two years. Banks have tightened access, set minimum spending criteria and, in some cases, removed lounge benefits entirely. This means lounge access is no longer "free" unless you are a valuable customer for the bank.

Indian airports have changed rapidly since Covid. Passenger traffic has surged, terminals have expanded, and flyers wait in long queues to enter lounges. By paying for each customer who entered using their card, banks and card issuers subsidised lounge operators. As lounge usage grew, so did the bill for banks. This is why many lenders have now linked lounge access to card spending pattern—they want customers to actively use the cards on retail spends before unlocking airport privileges.

Several major issuers have changed tack. HDFC Bank revised lounge access rules for many cards, including the Tata Neu series and Regalia. Complimentary access is now increasingly tied to quarterly spending milestones. ICICI Bank has done the same. On many cards, its users must have spent around ₹35,000 or more in the previous quarter to get complimentary lounge visits in the current quarter. At Axis Bank, some co-branded cards have altogether ended domestic lounge access.

The logic is simple: lounge access has become a heavily used perk. Banks earlier assumed that only premium customers or frequent flyers would visit lounges regularly. Instead, many customers signed up purely for lounge access, often with a fee waiver and otherwise using the cards sparingly otherwise.

That model stopped making financial sense. Now, banks classify customers more aggressively. If you are a heavy spender, the issuer considers you profitable and continues to subsidise your lounge visits. If your card remains inactive except for airport usage, the perks will likely vanish.

This has led to a new hierarchy in India's credit card market. At the entry level, many lifetime-free or low membership fee cards still offer limited domestic lounge visits, but almost always with spending strings attached. Cards issued on Visa, Mastercard and RuPay networks may offer a visit or two per quarter, subject to minimum monthly or quarterly spends.

Mid-tier travel cards now typically offer structured access. A user may get four domestic lounge visits per quarter and a handful of international lounge visits each year with operators like Priority Pass or DreamFolks. However, spending criteria have become increasingly common even in this segment.

At the top end are super-premium cards—invite-only or ultra-premium travel products that still offer unlimited access. Their annual fee often runs into tens of thousands of rupees, but banks justify the pricing through premium travel benefits. Another major trend is the shift from direct swipe access to voucher-based or app-based systems. Earlier, customers could just present their card at a lounge reception. Nowadays, banks require customers to generate lounge vouchers on apps or portals after meeting specific spending criteria. Many HDFC Bank have already implemented similar systems.

For travellers, this means airport lounge access now requires more planning. It is no longer enough to hold a card with lounge branding. They must monitor spending thresholds, activation timelines and lounge programme rules. There is also an important distinction between domestic and international lounge access. Domestic access is usually tied directly to card networks like Visa, Mastercard or RuPay. International access, meanwhile, is typically routed through programmes such as Priority Pass, LoungeKey or DreamFolks, which come with their own usage caps and restrictions.

The bottom line is that lounge access in India is evolving from a mass-market giveaway into a reward for engaged, high-spending customers. Travellers who optimise their card usage can still extract significant value. But the era of virtually unlimited complimentary airport lounge access on lightly used cards is steadily coming to an end.

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‘2-hour’ covers

Look beyond the promise

New health plans cover treatments requiring two hours of hospitalisation, but exclusions remain critical.

by Preeti Kulkarni

A clutch of health insurers now offers two-hour hospitalisation covers, which are being pitched as markers of comprehensive health insurance policies.

The feature, increasingly common in premium health insurance products launched in recent months, reflects the evolution of medical care. The procedures that once required overnight hospitalisation are now completed within a few hours, thanks to minimally invasive surgeries and improved anaesthesia protocols that enable a faster discharge. Insurers such as Niva Bupa, Care Health Insurance and Aditya Birla Health Insurance have introduced products with such benefits. However, before buying these covers or opting for such procedures, policyholders should understand the extent of coverage and, more importantly, what is excluded.

Short-duration hospitalisation checklist

- **Medically necessary:** Procedures must be recommended by a registered medical practitioner.
- **Hospital admission:** Treatment must be taken at a registered hospital.
- **Clinical need:** Must entail an active line of treatment.
- **Admissible claim:** Should meet the policy's eligibility criteria.
- **Policy-compliant:** Should not be specifically excluded by the policy.

Day-care vs short duration treatment

Day-care procedures	Short-duration hospitalisation
List of procedures largely fixed.	Broader, relatively more open-ended coverage.
Explicitly mentioned in policy wording.	Based on medical necessity.
Examples: cataract, dialysis, chemotherapy, radiation sessions.	Can include newer procedures permitted by policy terms.

Keep an eye on exclusions

- Purely diagnostic admissions (MRI/endoscopy for diagnosis only).
- Observation-only stays without active treatment.
- OPD-administered injections without hospital admission.
- Cosmetic, wellness or non-medically necessary treatments.
- Claims filed during waiting periods.
- Procedures or expenses specifically excluded.

Coverage linked to medical need, not stay duration

The genesis of such offerings lies in the rapid advances in the surgical arena. “Healthcare delivery has evolved significantly over the past few years. However, as treatment patterns changed, insurers started expanding coverage to align with modern clinical practices and evolving consumer expectations,” says Bhabatosh Mishra, Director and Chief Operating Officer, Niva Bupa Health Insurance. Earlier, health insurance policies focused on hospitalisation expenses, which is why the 24-hour admission was central to coverage. Subsequently, insurers began covering day-care procedures that did not require 24-hour hospitalisation. “The idea behind the two-hour hospitalisation coverage is that all medically necessary procedures admissible under the policy will be covered, irrespective of the duration of the hospital stay,” says Mayank Bathwal, CEO, Aditya Birla Health Insurance.

According to Policybazaar data, day-care and short-duration stay claims now account for nearly 30% of the total claims processed. “Today, many medical interventions that required 24-hour hospitalisation earlier, can be completed safely within a few hours under clinical supervision. Minimally invasive procedures, improved anaesthesia practices, and better clinical protocols have significantly reduced the duration of hospital stay for several procedures,” says Manish Dodeja, Executive Director & Chief Business Officer, Care Health Insurance.

This is where the short-duration covers—entailing a minimum hospital stay of two hours—come in. “This feature gives coverage to a new category of hospitalisation treatments. These may require 2+ hours' admission in the hospital, but do not strictly fall under the definition of day-care treatments, which require anaesthesia and technological advancement as a precondition. The requirement that the procedure requires an active line of treatment in a hospital continues,” says Mahavir Chopra, Founder, Beshak.org.

The short-duration hospitalisation feature helps address treatment scenarios where hospital admission and monitoring are medically required, even if the stay is shorter than the traditional 24-hour benchmark. “This ensures that policyholders are not denied claims simply because medical science has shortened hospital stays. This feature has become particularly important in urban India, where patients increasingly prefer a faster treatment, lower infection risk, and same-day discharge whenever medically feasible,” says Siddharth Singhal, Head, Health Insurance, Policybazaar.com

Day-care vs short-duration coverage

At first glance, both are based on the same concept—covering procedures that traditionally required 24-hour hospitalisation, but can now be completed with same-day discharge due to advances in medical technology and treatment protocols.

However, from the policyholders' perspective, the nuance lies in how they are defined in the policy documents. “Day-care procedures typically refer to a predefined list of medical treatments or surgeries that historically required prolonged hospitalisation but can now be completed within a few hours due to technological advancements. These are usually explicitly listed in the policy wording,” explains Mishra. In other words, the covered procedures are specifically named in the policy. “These are well-established treatments such as cataract surgery, dialysis, chemotherapy and endoscopy-related interventions, and are generally specified under the policy coverage,” adds Dodeja.

The definition of short-duration hospitalisation coverage, on the other hand, is broader and more open-ended. “Instead of limiting coverage to a fixed list of procedures, it covers medically necessary treatments that require admission and clinical monitoring for a specified minimum duration, such as two hours, subject to policy terms and conditions,” says Mishra. For such treatments to qualify, there must be hospital admission, a confirmed diagnosis, active treatment, and medical advice and supervision. Coverage cannot be determined solely by the name of the procedure. “Whether a procedure is medically necessary is assessed during the claims process. Treatments such as spine injections for pain management or a colonoscopy with polypectomy may be covered, provided they meet the policy conditions and are not specifically excluded,” says Mishra.

Know what is not covered

While the terms of coverage for short-duration hospitalisation are broader, it is critical to understand the exclusions—procedures and expenses that insurers will not pay for—before filing claims. Policyholders should not mistake a shorter hospitalisation cover for blanket coverage of every procedure involving a brief hospital stay. “Purely diagnostic admissions, observational stays or OPD-administered injections without hospital admission are generally not covered. Final admissibility depends on medical records, insurer assessment and policy wording,” says Singhal. For example, Magnetic Resonance Imaging (MRI) or endoscopy carried out for diagnosis or monitoring may not qualify, even if they cost a large sum. Any treatment undertaken for diagnostic, cosmetic, wellness, or non-medically necessary purposes may not be covered unless specifically included in the policy. “Each claim is assessed based on the coverage and exclusions, as well as the medical context of the case. It is important not to assume that every short medical visit or outpatient procedure will automatically qualify for coverage,” adds Mishra.

Get clarity before filing claims

As in the case of any other claim, you must carry out a few checks, particularly for planned procedures. “Ascertain whether the hospital is a part of the insurer's network and seek pre-authorisation, wherever applicable. Figure out whether the procedure falls under covered day-care or short-duration hospitalisation benefits. Also, retain all medical records, prescriptions, discharge summaries, invoices and investigation reports,” says Dodeja.

For policyholders planning to buy such products or file claims under the policies, it is essential to read beyond the marketing pitch and understand exactly where insurers draw the line between admissible treatment and excluded care.

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Gold import reforms

Break the gold habit

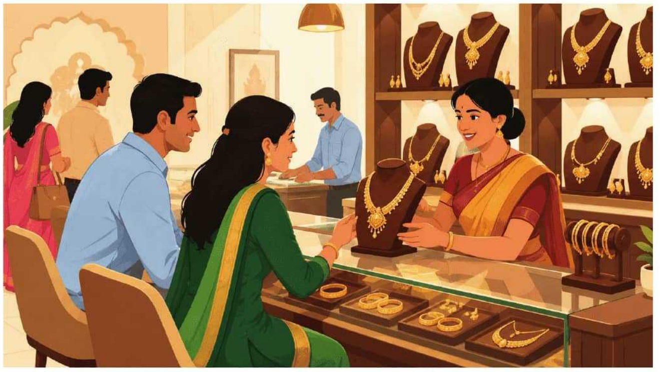
India can't legislate away its love for gold. But it can design its way out of the import habit.

SANJIV SHAH
CO-FOUNDER, LAKSHYA AMC

One of the objectives of the gold ETF was not merely financial innovation but to reduce, or at least postpone, the import of physical gold. The idea was elegant: channel India's deep and lasting appetite for gold into financial products rather than repeated shipments of imported bullion. That promise, however, has never been fully realised.

India's relationship with gold is ancient, emotional and enormously expensive. Every year, we import 800–900 tonnes of the yellow metal, spending close to \$50 billion in precious foreign exchange—making gold one of the largest contributors to the current account deficit (CAD) year after year. Successive governments have tried customs duty hikes, quantity restrictions and periodic schemes to curb imports. Yet, demand has proved stubbornly inelastic. Gold continues to flow in—through official channels when duties are moderate, and through unofficial ones when they are not.

What's less well known is that when the gold exchange-traded fund (ETF) was first conceived, one of its objectives was not merely financial innovation but to reduce, or at least postpone, the import of physical gold. The idea was elegant: channel India's deep and lasting appetite for gold into financial products rather than repeated shipments of imported bullion. That promise, however, has never been fully realised, because the supporting market structure and regulations evolved differently from that original vision. Three structural reforms could finally make good on it.



1: Gold ETFs only for financial gold

Gold ETFs in India have grown rapidly, bringing millions of investors into financial gold. But there is a structural contradiction at the heart of the product. Current norms require ETFs to predominantly hold physical gold, i.e. every incremental rupee entering the category ultimately translates into demand for bullion. This was never the original intent.

India does permit electronic gold receipts (EGRs), but EGRs by themselves don't end the underlying demand for physical gold—they largely change the form of ownership rather than reduce import dependence. The objective must be broader. Gold ETFs should be allowed, or encouraged, to allocate meaningfully to financial gold instruments including sovereign gold bonds, gold deposit scheme-linked instruments, EGRs and exchange-traded derivatives alongside physical holdings.

This matters because some existing alternatives have not scaled as expected. Gold deposit schemes have seen limited adoption. Gold metal lending has not developed into a large recycling mechanism. One reason is behavioural: jewellers have often preferred carrying unhedged gold inventory in a secular uptrend in prices, while benefiting from structures that reduce the need to borrow metal. The ecosystem has, therefore, not created sufficient incentives to recycle domestic gold stock into productive circulation.

ETF flows can help fill that gap. Most investors seek price exposure to gold, not physical delivery. They buy units, not collect bars. As long as the underlying instruments accurately track the gold price—which sovereign gold bonds and futures contracts demonstrably do—the investor experience is identical to holding a bullion-backed ETF, along with the benefit of interest income. This reform is less about financial engineering and more about aligning capital flows with national balance sheet efficiency. India was the first nation to conceive a gold ETF: reducing physical imports was always part of that philosophy.

2: No capital gains tax after 2 years

The second reform addresses the supply side. India is estimated to hold about 25,000 tonnes of gold in household hands—jewellery, family reserves, investment holdings and inherited assets accumulated quietly over generations. This is one of the largest private gold stocks in the world. Yet, this enormous reserve contributes almost nothing to domestic supply.

At first glance, removing capital gains tax after two years appears an obvious solution. But taxation is not the only, or even the main, reason households don't sell. A major structural reason is the growth of India's loan-against-gold ecosystem. Today, households can access liquidity while retaining ownership of the asset. Instead of selling gold to meet consumption or business needs, they borrow against it and continue taking part in future price appreciation. For many families, this is economically and emotionally superior to disposal. Capital gains reform alone will therefore not unlock meaningful supply, but it still matters.

Currently, gains on gold held beyond two years attract long-term capital gains tax (LTCG) at 12.5% with no indexation benefit. Combined with transaction costs and behavioural inertia, many households simply prefer to hold indefinitely. Removing LTCG tax changes the relative appeal of selling against retaining. Combined with elevated domestic gold prices and stronger monetisation channels, it creates a compelling case for recycling dormant household gold. Even a modest rise in monetisation—1% or 2% of existing holdings over several years—could release hundreds of tonnes annually into domestic supply, directly displacing fresh imports tonne for tonne.

3: Sops to importers for borrowing

The third reform connects the two sides of the market. India already has mechanisms to mobilise domestic gold through deposit schemes. Yet, mobilisation is limited because there has not been enough natural demand for recycled domestic gold. At the same time, large corporate gold users and importers—especially organised jewellers and industrial users—continue to rely predominantly on fresh imports, because imported metal is operationally simpler and often economically equivalent.

Policy can bridge this gap directly. Large corporate importers should be given economic incentives to first borrow the metal mobilised through gold deposit schemes before importing incremental quantities. The incentives need not be subsidies, but be in the form of preferential regulatory treatment, lower financing costs, reduced procedural friction, import-linked credits, or calibrated duty mechanisms that make domestically mobilised gold commercially competitive.

This creates a circular domestic market: households deposit, financial institutions mobilise, corporates borrow, and imports are deferred. Even partial substitution at the margin could create a meaningful reduction in annual import intensity.

Together, the three reforms build a coherent and complementary framework. None of them bans gold, penalises consumers, or asks Indians to abandon their attachment to the metal. Instead, they work with incentives rather than against them—historically, the only durable way to shape behaviour in a market as emotional and embedded as gold. India cannot legislate away its love for gold. But smarter market design and better-aligned incentives can ensure that more of that demand is met from domestic financial and recycled channels rather than imported bullion—meaningfully easing one of India's most persistent pressures on its external balances.

Rajan Mehta and Sanjay Gaitonde also contributed to this column.

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Crude shockwaves rattle chemical firms

Chemical companies brace for margin pressure as crude-linked costs surge amid geopolitical tensions.

by **Sameer Bhardwaj**

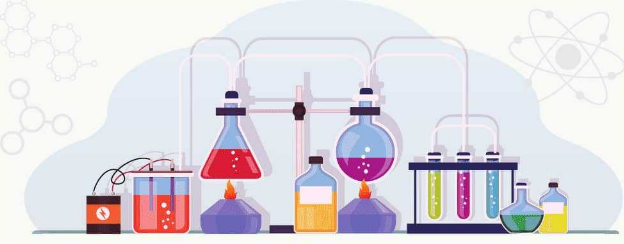
High crude oil prices are beginning to weigh on the chemicals sector amid rising feedstock and energy costs. With input costs moving up, concerns around margin pressure have come to the forefront, affecting near-term sentiment. However, the impact is not uniform as segments like commodity chemicals, specialty players, agrochemicals, and intermediates are likely to feel the pinch differently, depending on their ability to pass on costs and their reliance on raw materials.

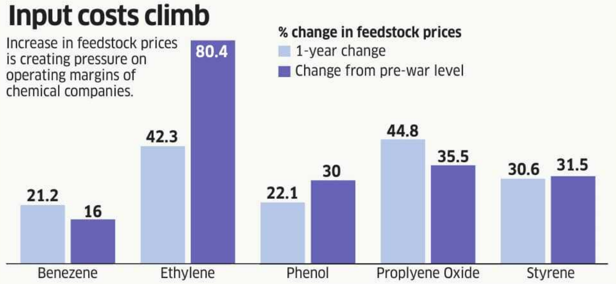
Despite pressures, the sector has shown resilience. The Nifty Chemicals index is up a modest 0.8% so far in 2026, but it continues to comfortably outperform the broader Nifty 50 index, which lost 9.6%. Nearly 16 out of 20 constituent stocks of the index outperformed the Nifty 50 index suggesting selective optimism in the space despite the challenging cost environment. The analysis is based on 15 May 2026 closing values.

Margin pressure

The prices of key raw materials such as benzene, phenol, propylene, styrene and ethylene which form the backbone of several downstream chemical products have risen 16-80% from the pre-war (US-Israel and Iran) levels. Besides, the disruption in production and trade flow of energy sources, increase in freight and insurance charges, and packaging materials are also headwinds for the chemical sector.

Analysts believe not all companies will be able to fully pass on rising operating costs, putting pressure on margins. An HDFC Securities report estimates EBITDA (earnings before interest, taxes, depreciation and amortisation) margins for its chemicals coverage universe may decline by 100-600 basis points in 2026-27 versus 2025-26. Segment-wise, commodity chemicals remain under pressure due to high crude-linked input costs and persistent Chinese oversupply, limiting pricing recovery. Specialty chemicals, however, are relatively better placed because of stronger customer stickiness and value-based pricing.





Source: Equirus Securites weekly tracker report 18 May 2026

Earnings outlook

For the March 2026 quarter, the earnings picture remains mixed. Companies with differentiated products and long-term customer contracts have performed relatively better, particularly those in fluorochemicals and CDMO (contract development and manufacturing organisation) segments. Additionally, the presence of low-cost raw material inventories has provided a buffer during the quarter, as most chemical companies typically maintain around three months of inventory.

A recent report by 360 One Capital notes that this inventory advantage is likely to partially cushion companies even in the June 2026 quarter. However, the full impact of rising raw material costs, higher domestic logistics expenses, and demand-side pressures is expected to start reflecting from the September 2026 quarter onward.

Anil R., Senior Research Analyst at Geojit Investments, echoes a similar view. He notes that the complete effect of elevated crude prices and freight costs is likely to be visible from the first quarter of 2026-27, with earnings volatility expected to persist in the near term until crude prices stabilise and freight costs ease. Despite near-term challenges, analysts remain constructive on the long-term outlook for the chemicals sector. Structural drivers such as increasing global interest in sourcing from India to diversify supply chains, a rising share of speciality chemicals in product portfolios, operating leverage benefits, and significant capacity expansions undertaken by companies are expected to support future growth.

Karan Kamdar, Research Analyst – Small & Midcaps at Choice Institutional Equities, believes the sector is well-positioned for structural growth. He maintains a positive stance on segments such as fertilisers, insecticides, fluorochemicals, and textile specialty chemicals. Key tailwinds, according to him, include the China plus one strategy, global strategic stockpiling, emerging demand for battery chemicals, and the potential easing of US tariffs.

Investor approach

Analysts are increasingly favouring companies with relatively lower exposure to volatile feedstocks (for example, fluorine remains relatively less linked to the crude oil cycle, whereas rising prices of crude-linked feedstocks such as ethylene and propylene can pressure margins for companies manufacturing downstream chemicals, plastics and polymers), and stronger underlying fundamentals.

Firms with robust balance sheets, clear revenue visibility, and a higher share of domestic business are seen as better placed to navigate the current environment. In addition, companies moving up the value chain—enhancing scale, complexity, and product mix—are expected to be better positioned for long-term growth.

Against this backdrop, Anil advocates a selective approach rather than a broad-based sector allocation, with a clear preference for specialty chemicals over commodity-oriented plays. He recommends a gradual accumulation strategy, suggesting that investors build exposure through smaller, staggered investments.

At the same time, several risks remain on the radar. A sustained rise in crude oil prices, weak demand across downstream industries, persistent supply constraints in petrochemicals and natural gas, high logistics costs, and potential rupee depreciation could weigh on sector performance. Here is how the three companies of the Nifty Chemicals Index with highest buy ratings on Bloomberg are placed:

Navin Fluorine International

- Reported robust results in the March 2026 quarter, with adjusted earnings per share beating Bloomberg consensus by 22%
- Healthy growth across all segments, supported by margin expansion
- Earnings visibility remains strong due to improved execution, and ongoing capacity additions
- Continued efforts to expand product portfolio and global partnerships
- High-Performance Products (HPP) segments' growth led by ramp-up of R-32 (refrigerant gas)
- Specialty chemicals & CDMO segments' improvement driven by debottlenecking of multipurpose plants

SRF

- Delivered solid results in the March 2026 quarter
- Healthy performance across key segments—Chemicals, Performance Films & Foils, and Technical Textiles
- Fluorochemicals' growth supported by high domestic and export volumes
- Performance films & foils' growth aided by volume expansion
- Specialty chemicals segment continues to face pricing pressure due to competition from China, but market share has been defended through cost control and process improvements
- Future growth levers are backed by diversification and a strong capex pipeline
- Tailwinds include ramp-up of newly commissioned plants

Aarti Industries

- Strong operating performance in the March 2026 quarter
- Focus on product portfolio expansion and higher capacity utilisation, supported by selective backward integration initiatives
- Risk management measures include redirecting volumes to the US, EU, and other markets
- Well-placed to benefit from operating leverage, improved utilisation, and progress in high-value chemistries.

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Navin Fluorine International — PRICE ₹7,076

ANALYSTS' RECOMMENDATIONS

BUY	HOLD	SELL
24	2	4

SRF — PRICE ₹2,637

ANALYSTS' RECOMMENDATIONS

BUY	HOLD	SELL
22	5	9

Aarti Industries — PRICE ₹469

ANALYSTS' RECOMMENDATIONS

BUY	HOLD	SELL
16	2	5

Source: Bloomberg. Price as on 19 May 2026.

Say 'I do' to shared financial decisions

One spouse controlling the household's finances can lead to either oppression or periodic rebellion.

UMA SHASHIKANT
CHAIRPERSON,
CENTRE FOR INVESTMENT EDUCATION AND LEARNING

Without a definition of priority and discretion, many households suffer from ad hocism. How should they spend for the common good without sustained disagreement? How much is available to spend discretely without being questioned? The definition and space are critical.

Couples often disagree on financial matters. Opposites attract when falling in love, but we somehow assume that consensus will be magically achieved after marriage. However well they may bond over the years, a couple tends to remain their own people in many respects. Money personality is one such trait, shaped by their own beliefs and experiences, and not necessarily modified by marriage. There is more secrecy, denial and lack of accountability in household finances than we may care to admit.

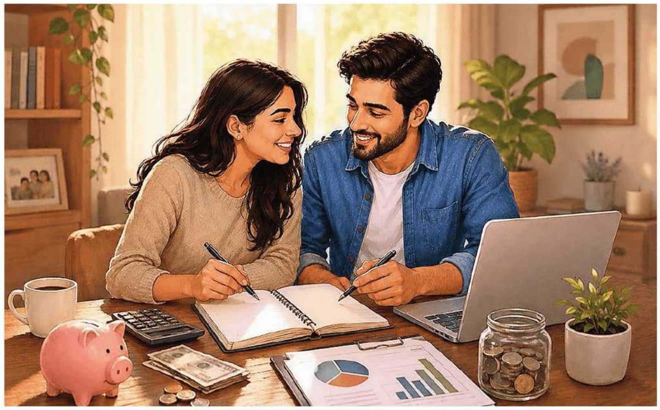
One spouse holding power over the finances of the household is not the solution. It is easy if there is no debate or discussion about every decision. But this centralisation is not a source of peace and calm with respect to household financial decisions. There is either oppression or periodic rebellion, both harmful. There is a lack of accountability and transparency, leading to inefficient outcomes for everyone. Couples tide over these with time, seeing the differences as necessary compromise, mostly avoiding confrontation after they have understood the patterns of behaviour around money. Resentment remains, and the blame game continues.

Avoid ad hocism in spending

Without a clear definition of priority and discretion, many households suffer from ad hocism. How should they spend for the common good without sustained disagreement? How much is available to spend discretely without being questioned? The definition and space are critical because it is tough to get one spouse to agree that a spending decision was necessary, even if the other disapproved. My friend complained that she had used her joining bonus to get a diamond necklace for her daughter's 16th birthday. It was an independent decision and she did not consult the husband as it was her money. He disapproved of it and resented what he saw as a pattern, where she made impulsive spending decisions that were harmful to the household, in his opinion.

Wasn't she entitled to spend the money she earns? Isn't it nice for women and girls to have jewellery? Does a special occasion not deserve an indulgence? Why does he have to puncture the joy of buying a gift from the money that is her bonus? Doesn't he make decisions big and small without consulting her? When he bought himself luxury travel suitcases of a popular brand, he told her they earned well enough to do that. Is it that he cannot be questioned because he earns more? These were her questions. They arise because the ground rules of household finance have not been set.

In these days of adequate income, many households don't budget or keep accounts. They live with the general sense that there is enough money for everything. Which expense will be acceptable and which would be questioned is not subject to agreed principles, but ad hocism that can turn either way. What would those rules be? Why are they needed?



We will address the second question first. For most of us, money is a limited resource. This means there is an opportunity cost. Money spent or allocated to one thing is not available to spend or allocate for another use. Couples quarrel about money because one has another use in mind for the money decision that the other made. Unless there is an unlimited reservoir of money, or unquestioned power over its use, one partner will question the other about money decisions. Here are some rules that can be adopted.

Label expenses together

First, get a sense of the expenses that the household's pooled income should fund. These include mandatory items like rent, utilities, food, fuel, education and discretionary items such as travel, entertainment, etc. If a couple is quarreling over each of these—which car to buy, where to eat, how much EMI to pay, where to send the children to school, where to go on a vacation—the problem might be about their personal principles or the income might just not be enough. There is no escaping the reality of how much the income is and, thus, what they can label as routine expenses. Many households skip this critical step. Pool the income of the household, put it out in the open and discuss its allocation for routine expenses.

Second, list the common financial goals and work hard to achieve a consensus. Saving and investment decisions require this consensus, however tough that may be. Financial planning tools smoothen the process of listing and allocating money for future goals. Involving your spouse in mapping those and agreeing to save and invest as needed is key to ensuring that major financial goals are funded adequately. Blindly buying jewellery or property might not meet this requirement, even if they tend to look like investment decisions. Nor will speculating on stocks in desperation build wealth. Take the help of professionals to see how the costs, risks, market value, maintenance, and disposal of these assets would happen, so that the decision to allocate money on these assets is made with complete information and understanding. It is common for couples to have different risk preferences, and an investment portfolio must be diversified to take both positions into account. Not a tough task, but mandatory.

Third, agree to split equally what remains after the core expenses and investments, and allocate a percentage of this for discretionary expenses of each partner. There is little merit in arguing about who earns how much, and if both earn at all. Just because there is no market for household responsibilities, the work a woman puts in has been unfairly discounted for too long. Even with women who choose to be employed, there is no disputing that having a child and raising a family has the potential to derail or slow down her career progression. Partners contribute their time, energy and resources to the household to the best of their abilities and circumstances, and are entitled to an equal share of the residual income after the above two steps. Allow complete agency in spending this portion, however big or small it is. The diamond necklace and the luxury suitcase fit in here. When couples try to push their personal expenses into the family income pool, disputes can be expected.

There are various versions of his, hers and ours in practice, when it comes to family income. But they essentially delineate what is available to everyone, and what is discrete to only one. This line must be drawn early, and with complete understanding of consequences. It takes work and, perhaps, an external well-wisher or adviser to put it all down if the household is willing to be transparent about it. It won't magically resolve all disputes over money, but there will be a framework or method that can keep the madness in control.

Please send your feedback to
etwealth@timesofindia.com

Sector indices

Metals extend dominance in volatile 2026

Welcome to TrendMap, your guide to the performance of different investment segments. In this edition, we present a 10-year performance tracker of various domestic market sectors. The annual returns are ranked for 9 key NSE Sector indices. Metals and energy dominate decade-long returns, while defensives trail. By **Sameer Bhardwaj.**

Rank	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026*	10-year return
1	Real estate 101.0%	IT 24.9%	Real estate 25.7%	Pharma 60.5%	Metals 69.4%	Metals 19.5%	Real estate 79.6%	Pharma 38.9%	Metals 29.3%	Metals 16.9%	Metals 21.2%
2	Metals 45.6%	FMCG 14.4%	Banks 17.4%	IT 54.2%	IT 58.2%	Banks 18.0%	Auto 47.0%	Real estate 33.8%	Auto 21.8%	Energy 11.4%	Energy 17.1%
3	Banks 42.1%	Banks 7.3%	Energy 10.9%	Metals 16.4%	Real estate 53.0%	FMCG 17.5%	Infra 38.0%	Auto 22.8%	Banks 16.7%	Pharma 9.9%	Real estate 15.6%
4	Energy 38.2%	Energy 1.4%	IT 8.3%	FMCG 13.0%	Infra 34.7%	Auto 13.5%	Pharma 34.1%	IT 21.4%	Infra 13.1%	Infra -4.2%	Infra 13.7%
5	Infra 32.9%	Pharma -7.8%	Infra 2.0%	Auto 12.0%	Energy 33.3%	Energy 13.2%	FMCG 29.0%	Infra 15.9%	Energy -0.3%	FMCG -5.3%	Banks 12.4%
6	FMCG 29.7%	Infra -12.7%	FMCG -0.9%	Infra 11.9%	Auto 17.9%	Infra 4.8%	Energy 28.6%	Metals 8.1%	FMCG -2.7%	Auto -9.8%	Auto 12.2%
7	Auto 28.8%	Metals -19.5%	Pharma -9.5%	Energy 5.8%	Banks 13.6%	Pharma -11.0%	IT 23.6%	Banks 5.4%	Pharma -3.1%	Banks -10.6%	IT 10.2%
8	IT 12.5%	Auto -22.3%	Auto -10.2%	Real estate 5.4%	Pharma 9.4%	Real estate -11.8%	Metals 15.8%	Energy 4.9%	IT -12.7%	Real estate -13.8%	FMCG 10.0%
9	Pharma -6.7%	Real estate -33.2%	Metals -10.7%	Banks -2.6%	FMCG 9.3%	IT -26.8%	Banks 11.8%	FMCG -0.9%	Real estate -15.6%	IT -23.2%	Pharma 8.3%

Source: ACE MF. *2026 data is YTD based on 19 May 2026 closing values. Other years' returns are calculated between the first and the last trading day closing values. 10-year return is compounded average return.
Indices considered: Auto: Nifty Auto, Banks: Nifty Bank, Energy : Nifty Energy, FMCG: Nifty FMCG, Infra: Nifty Infrastructure, IT: Nifty IT, Metals: Nifty Metal, Pharma: Nifty Pharma, Real estate: Nifty Realty.

SMART STATS

ET WEALTH TOP 50 STOCKS

How precious metals shone

Gold (995) (₹) price of 10 g

1,57,484
22 May 2026

94,927
22 May 2025

Silver (₹) price of 1 kg

2,66,000
22 May 2026

97,332
22 May 2025

Source: IBJA

Every week we put about 3,000 stocks through four key filters and rate them on a mix of factors. The end result of this is the listing of the top 50 stocks based on the composite rating to help ease your fortune hunt.

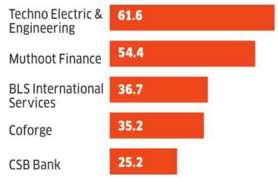
	RANK		PRICE ₹	GROWTH%*		VALUATION RATIOS				RATING	
	Current Rank	Previous Rank	Stock Price	Revenue	Net Profit	PE	PB	PEG (5-year)	Div Yield (%)	No. of funds	Value Research Stock Rating
CSB Bank	1	1	362	25	7	9.9	1.3	0.8	0.0	19	★★★★★
Power Finance Corporation	2	2	432	8	13	5.5	1.1	0.5	4.3	111	★★★★★
Muthoot Finance	3	6	3,282	54	100	12.5	3.4	0.6	0.9	72	★★★★★
City Union Bank	4	3	251	18	18	14.1	1.8	1.5	0.8	43	★★★★★
SBI Cards & Payments Service	5	4	620	10	13	27.4	3.8	1.8	0.4	84	★★★★
Home First Finance Company	6	7	1,076	25	22	21.0	2.6	0.6	0.5	40	★★★★★
Sundaram Finance	7	8	4,519	13	29	24.3	3.2	2.3	0.8	22	★★★★★
Bank of Maharashtra	8	9	80	17	22	8.7	1.9	0.4	2.8	7	★★★★★
Repco Home Finance	9	12	393	5	1	5.3	0.7	1.1	1.0	10	★★★★★
Infosys	10	10	1,181	10	12	16.4	5.3	1.7	4.0	244	★★★★
DCB Bank	11	13	181	14	17	8.0	0.9	0.6	0.8	20	★★★★★
AU Small Finance Bank	12	14	955	16	25	27.3	3.6	0.9	0.1	57	★★★★★
Coforge	13	11	1,374	35	91	39.4	2.3	1.3	0.9	131	★★★★
CIE Automotive India	14	15	462	11	8	20.2	2.3	0.3	1.5	25	★★★★★
Gujarat Pipavav Port	15	16	154	11	39	15.3	3.0	1.2	5.3	9	★★★★★
Mastek	16	18	1,644	7	7	12.5	1.7	0.8	1.5	7	★★★★
Emami	17	19	414	2	0	23.7	5.8	1.9	2.3	58	★★★★
Sonata Software	18	23	270	5	9	16.2	4.0	0.9	3.0	39	★★★★
PNB Housing Finance	19	22	1,056	11	18	12.1	1.4	1.7	0.8	92	★★★★★
Glaxosmithkline Pharma	20	25	2,337	2	12	38.4	17.5	1.9	2.4	48	★★★★
Chambal Fertilisers & Chemicals	21	28	447	25	18	9.2	1.7	1.1	2.5	14	★★★★
Gujarat State Fertilizers	22	21	174	7	27	10.3	0.6	0.6	2.8	6	★★★★
Hero Motocorp	23	20	4,970	16	31	17.3	4.6	1.5	3.7	107	★★★★★
Indian Energy Exchange	24	45	127	15	15	22.9	8.3	1.2	2.8	35	★★★★★
LTM	25	27	4,138	11	9	24.3	5.1	1.0	1.8	71	★★★★
Mahindra & Mahindra	26	26	3,100	25	32	22.6	4.2	0.6	1.1	203	★★★★
L&T Technology Services	27	29	3,561	13	1	29.7	5.9	1.9	1.6	36	★★★★
Transport Corporation Of India	28	31	903	9	13	15.4	2.8	0.5	0.9	7	★★★★
Mazagon Dock Shipbuilders	29	54	2,466	14	14	38.7	10.3	1.0	0.7	22	★★★★
Schaeffler India	30	53	4,119	17	23	53.1	10.1	1.7	0.9	89	★★★★
Kennametal India	31	42	2,818	18	36	44.9	7.3	1.7	1.4	10	★★★★★
Hindustan Zinc	32	35	630	20	33	19.4	11.8	2.1	1.7	13	★★★★★
Mas Financial Services	33	17	306	25	20	15.0	1.9	0.6	0.6	13	★★★★★
BLS International Services	34	47	268	37	35	16.1	4.5	0.2	0.4	5	★★★★★
Jindal Stainless	35	34	737	9	27	19.1	3.1	0.2	0.5	31	★★★★
Nippon Life India AMC	36	32	1,077	21	18	45.6	15.0	2.6	1.9	58	★★★★★
Crisil	37	59	4,184	17	19	36.5	9.4	1.9	1.4	25	★★★★
RHI Magnesita India	38	55	401	8	287	46.9	2.0	2.2	0.6	34	★★★★
Cholamandalam Investment	39	44	1,501	20	22	24.6	4.2	0.9	0.0	131	★★★★★
Techno Electric & Engineering	40	36	1,287	62	30	30.2	3.7	1.4	0.7	30	★★★★
Ashoka Buildcon	41	51	129	-21	88	1.3	0.6	0.0	0.0	6	★★★★
Abbott India	42	38	27,719	8	10	37.9	12.3	2.1	2.4	66	★★★★
Lupin	43	65	2,281	23	62	19.5	4.6	0.5	0.8	115	★★★★
Tata Consultancy Services	44	48	2,326	5	1	17.1	7.8	1.7	4.7	156	★★★★
Vedanta	45	46	331	17	15	7.5	2.6	–	10.2	76	★★★★
Grindwell Norton	46	33	1,914	9	13	51.0	8.3	3.7	1.0	48	★★★★
Esab India	47	40	6,820	10	22	49.8	22.8	1.9	1.4	8	★★★★★
eClerx Services	48	39	1,535	22	32	20.4	5.6	1.0	0.0	29	★★★★
LIC Housing Finance	49	62	541	3	3	5.3	0.7	0.1	1.8	45	★★★★★
CreditAccess Grameen	50	57	1,294	5	46	26.7	2.6	1.2	0.0	49	★★★★★

*REVENUE AND EPS FIGURES BASED ON ONE-YEAR GROWTH. DATA AS ON 22 MAY 2026. PERCENTAGES & RATIOS ROUNDED OFF TO ONE DECIMAL PLACE.

SOURCE: VALUE RESEARCH

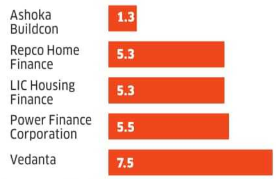
1 Fast growing stocks

Top 5 stocks with the highest revenue (1-year) growth (%)



2 Least expensive stocks

Top 5 stocks with the lowest price-to-earnings ratio

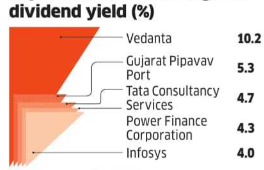


3 Best PEGs

Top 5 stocks with the lowest price earnings-to-growth ratio

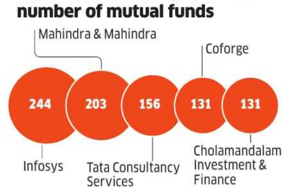
4 Income generators

Top 5 stocks with the highest dividend yield (%)



5 Most widely held

Top 5 stocks held by the most number of mutual funds



STOCKS IN THE ABOVE CATEGORIES ARE SELECTED FROM THE OVERALL TOP-50 STOCKS.

ETW FUNDS 100

BEST FUNDS TO BUILD YOUR PORTFOLIO

ET Wealth collaborates with **Value Research** to identify the top-performing funds across categories. Equity funds and equity-oriented hybrid funds are ranked on 3-year returns while debt-oriented hybrid and income funds are ranked on 1-year returns.

	Value Research Fund Rating	Net Assets (₹ Cr)	RETURNS (%) 3-Month	6-Month	1-Year	3-Year	5-Year	Expense Ratio (%)
EQUITY: LARGE CAP								
HDFC NIFTY50 Equal Weight Index	★★★★★	1,730	-3.3	-3.2	4.8	15.7	–	1.0
DSP Nifty 50 Equal Weight Index	★★★★★	2,523	-3.3	-3.2	4.7	15.7	14.1	1.0
Nippon India Large Cap	★★★★★	51,690	-5.8	-7.2	-0.3	14.8	16.1	3.5
Invesco India Largecap	★★★★	1,722	-3.5	-6.6	-0.2	14.5	12.9	2.1
ICICI Prudential Large Cap	★★★★★	75,650	-6.9	-8.9	-2.4	14.5	14.0	1.7
DSP Large Cap	★★★★★	7,192	-6.2	-7.9	-4.1	14.0	11.5	2.5
Baroda BNP Paribas Large Cap	★★★★	2,579	-3.9	-5.0	-0.1	13.7	12.5	2.0
Bandhan Large Cap	★★★★	2,007	-5.3	-7.0	0.6	13.6	12.3	2.3
Tata Large Cap	★★★★	2,688	-5.2	-6.3	-0.3	12.4	11.8	2.0
Kotak Large Cap	★★★★	10,599	-7.1	-8.5	-2.4	12.0	11.4	1.9
Aditya Birla Sun Life Large Cap	★★★★	28,970	-6.7	-9.1	-3.2	11.9	11.6	1.6
HDFC Large Cap	★★★★★	38,121	-7.3	-8.2	-3.4	11.8	12.7	1.9
Canara Robeco Large Cap	★★★★	16,542	-6.5	-8.9	-4.0	11.5	10.8	1.8
Edelweiss Large Cap	★★★★	1,439	-7.0	-7.9	-2.5	11.5	11.5	2.1
SBI Large Cap	★★★★	53,468	-5.2	-5.4	-0.2	11.2	11.5	1.5
EQUITY: LARGE & MIDCAP								
Motilal Oswal Large and Midcap	★★★★	16,777	5.4	-1.5	6.7	24.0	20.3	1.9
Bandhan Large & Mid Cap	★★★★★	16,672	0.2	-2.0	7.7	22.7	18.4	2.5
UTI Large & Mid Cap	★★★★★	5,896	-2.4	-3.0	3.8	19.8	16.6	1.9
Nippon India Vision Large & Mid Cap	★★★★	7,081	-2.6	-4.5	1.9	18.6	16.1	1.8
ICICI Prudential Large & Mid Cap	★★★★★	29,757	-4.7	-6.2	0.9	18.4	18.2	2.0
HDFC Large and Mid Cap	★★★★	28,255	-3.5	-5.7	1.4	17.3	16.7	1.6
SBI Large & Midcap	★★★★	38,426	-3.8	-3.2	5.2	15.7	15.4	1.7
EQUITY: FLEXI CAP								
ICICI Prudential Retirement - Pure Equity	★★★★★	1,869	-0.1	-0.9	11.4	23.8	21.8	2.1
Invesco India Focused	★★★★	5,128	0.9	-6.5	-4.7	21.1	15.5	1.9
Bank of India Flexi Cap	★★★★	2,388	2.0	-0.4	8.0	21.1	17.5	3.0
ICICI Prudential Focused Equity	★★★★★	16,009	-6.4	-7.6	1.2	19.2	16.8	2.4
Invesco India Flexi Cap	★★★★	4,816	-0.7	-7.0	-0.1	18.4	–	1.9
HSBC Flexi Cap	★★★★	5,405	1.1	-2.0	4.6	18.1	15.0	2.3
HDFC Flexi Cap	★★★★★	100,479	-6.9	-7.2	-0.2	18.0	18.1	1.3
JM Flexicap	★★★★	5,041	-1.8	-5.3	-3.0	18.0	16.7	2.6
Mahindra Manulife Focused	★★★★	2,208	-3.9	-3.3	1.4	17.4	16.1	2.1
HDFC Focused	★★★★★	26,182	-8.7	-8.9	-2.4	16.9	18.9	1.6
Edelweiss Flexi Cap	★★★★	3,320	-4.2	-5.2	2.6	16.2	14.2	1.9
Parag Parikh Flexi Cap	★★★★★	140,949	-2.5	-4.2	0.6	16.1	15.4	1.4
ICICI Prudential Flexicap	★★★★	20,936	-5.2	-7.3	2.7	16.0	–	1.6
Franklin India Flexi Cap	★★★★	19,049	-6.6	-8.8	-4.4	14.8	14.2	1.7
Canara Robeco Focused	★★★★	2,725	-6.5	-9.2	-1.6	13.9	13.4	2.1
HDFC Retirement Savings - Equity	★★★★	6,733	-7.2	-9.6	-5.2	12.3	14.5	1.9
Franklin India Focused Equity	★★★★	11,488	-7.7	-11.1	-4.5	11.8	12.4	1.9
EQUITY: MID CAP								
Invesco India Mid Cap	★★★★	11,767	1.2	-2.4	10.0	25.2	20.4	2.2
Nippon India Growth Mid Cap	★★★★★	45,820	1.6	2.2	10.4	24.8	21.7	1.5
Edelweiss Mid Cap	★★★★★	15,911	2.2	0.7	9.6	24.6	20.3	1.8
Sundaram Mid Cap	★★★★	13,378	0.5	-1.0	8.7	23.7	19.6	2.3
HDFC Mid Cap	★★★★★	94,745	-1.8	-2.6	7.5	23.0	20.5	1.4
Kotak Midcap	★★★★	63,539	1.9	0.2	9.8	21.2	18.3	1.5
Motilal Oswal Midcap	★★★★	35,735	0.6	-11.2	-6.3	19.9	22.6	1.6
EQUITY: SMALL CAP								
Bandhan Small Cap	★★★★★	25,346	4.6	0.5	7.7	29.1	21.7	2.0
Invesco India Smallcap	★★★★★	11,038	2.2	-1.2	7.0	22.8	20.4	1.9
Quant Small Cap	★★★★	30,374	9.3	0.6	4.7	20.1	20.2	2.0
Nippon India Small Cap	★★★★	72,673	5.4	0.9	5.5	20.0	21.1	1.4
HDFC Small Cap	★★★★	38,168	-1.6	-7.0	-0.1	14.9	17.4	1.6
EQUITY: VALUE ORIENTED								
HSBC Value	★★★★	14,873	-3.0	-2.9	4.6	20.6	18.3	1.7
Axis Value	★★★★	1,523	-3.1	-3.5	5.3	20.2	–	2.6
Nippon India Value	★★★★	8,919	-4.6	-6.5	-0.2	19.3	16.9	1.8
ICICI Prudential Value	★★★★★	59,588	-6.4	-7.8	-0.4	17.0	17.3	1.6
SBI Contra	★★★★★	47,352	-5.4	-6.5	-1.6	15.7	17.8	1.5
Bandhan Value	★★★★	9,908	-4.6	-6.2	-1.3	13.8	15.0	2.6

15.7 THE 3-YEAR RETURN OF HDFC NIFTY50 EQUAL WEIGHT INDEX FUND IS THE HIGHEST IN ITS CATEGORY.

23.8% THE 3-YEAR RETURN OF ICICI PRUDENTIAL RETIREMENT FUND – PURE EQUITY PLAN IS THE HIGHEST IN ITS CATEGORY.

25.2% THE 3-YEAR RETURN OF INVESCO INDIA MID CAP FUND IS THE HIGHEST IN ITS CATEGORY.

20.6% THE 3-YEAR RETURN OF HSBC VALUE FUND IS THE HIGHEST IN ITS CATEGORY.

LAGGARDS & LEADERS

Taking a long-term view of fund returns, here is a list of 10 funds in each category—five leaders and five laggards.

LAGGARDS | LEADERS

Equity: Large cap 3-year returns

LAGGARDS		LEADERS	
5.8	Nippon India ETF Nifty 50 Shariah BeES	24.6	BHARAT 22 ETF
6.9	LIC MF BSE Sensex Index	24.3	ICICI Prudential BHARAT 22 FOF
7.4	Tata BSE Sensex Index	20.4	ABSL Nifty Next 50 ETF
7.5	Nippon India Index - BSE Sensex	20.4	UTI Nifty Next 50 ETF
7.6	HDFC BSE Sensex Index	20.4	ICICI Prudential Nifty Next 50 ETF

Equity: Flexi cap 3-year returns

LAGGARDS		LEADERS	
1.2	Samco Flexi Cap	23.8	ICICI Pru Retirement - Pure Equity
7.1	Mirae Asset Focused	22.2	Kotak Nifty Alpha 50 ETF
8.1	UTI Flexi Cap	21.1	Invesco India Focused
8.2	LIC MF Focused	21.1	Bank of India Flexi Cap
8.6	Tata Children's	19.2	ICICI Prudential Focused Equity

Equity: Mid cap 3-year returns

LAGGARDS		LEADERS	
13.0	DSP Nifty Midcap 150 Quality 50 Index	27.2	HSBC Midcap
13.0	UTI Nifty Midcap 150 Quality 50 Index	26.9	ICICI Prudential Midcap
13.1	PGIM India Midcap	25.6	WhiteOak Capital Mid Cap
13.7	DSP Nifty Midcap 150 Quality 50 ETF	25.2	Invesco India Mid Cap
13.9	Taurus Mid Cap	24.8	Nippon India Growth Mid Cap

Equity: Small cap 3-year returns

LAGGARDS		LEADERS	
11.4	Tata Small Cap	29.1	Bandhan Small Cap
12.4	SBI Small Cap	25.0	ITI Small Cap
14.1	Kotak Small Cap	24.4	ABSL Nifty Smallcap 50 Index
14.4	ICICI Prudential Smallcap	24.2	Kotak Nifty Smallcap 50 Index
14.9	Canara Robeco Small Cap	24.2	Axis Nifty Smallcap 50 Index

Hybrid: Aggressive 3-year returns

LAGGARDS		LEADERS	
7.4	HDFC Hybrid Equity	22.8	SBI Children's - Investment Plan
8.0	LIC MF Unit Linked Insurance	20.7	ICICI Pru Retirement - Hybrid Aggressive
8.7	Axis Children's	19.9	BoI Mid & Small Cap Equity & Debt
8.8	PGIM India Aggressive Hybrid Equity	16.7	ICICI Prudential Children's
8.9	Tata Aggressive Hybrid	16.6	ICICI Prudential Equity & Debt

ANNUALISED RETURNS IN % AS ON 20 MAY 2026

ETW FUNDS 100

	Value Research Fund Rating	Net Assets (₹ Cr)	RETURNS (%) 3-Month	6-Month	1-Year	3-Year	5-Year	Expense Ratio (%)
EQUITY: ELSS								
Motilal Oswal ELSS Tax Saver	★★★★★	4,659	8.3	0.2	5.8	22.9	18.6	2.0
SBI ELSS Tax Saver	★★★★★	31,094	-5.4	-6.1	-1.0	19.4	17.4	1.6
DSP ELSS Tax Saver	★★★★	16,337	-6.9	-7.0	-2.1	16.6	14.2	1.8
HDFC ELSS Tax Saver	★★★★★	15,559	-8.5	-10.2	-4.5	16.5	17.1	1.7
Franklin India ELSS Tax Saver	★★★★	6,106	-6.8	-10.0	-5.9	14.3	13.6	1.8
Bandhan ELSS Tax Saver	★★★★	6,835	-4.5	-5.9	0.6	12.6	13.1	2.7
Parag Parikh ELSS Tax Saver	★★★★★	5,617	-5.7	-9.8	-7.3	12.2	13.5	1.8
HYBRID: EQUITY SAVINGS								
Kotak Equity Savings	★★★★	10,032	-0.6	-1.1	5.2	10.4	9.7	1.8
DSP Equity Savings	★★★★	3,541	-0.8	-0.8	1.9	9.0	7.9	1.9
ICICI Prudential Equity Savings	★★★★★	16,868	-0.9	-1.0	3.2	7.6	7.3	1.6
HYBRID: AGGRESSIVE (EQUITY-ORIENTED)								
SBI Children's - Investment Plan	★★★★★	6,114	5.5	0.0	14.7	22.8	24.2	3.2
Bank of India Mid & Small Cap Equity & Debt	★★★★	1,482	5.1	4.8	8.1	19.9	16.8	2.9
ICICI Prudential Children's	★★★★	1,412	-0.2	-2.0	4.0	16.7	14.2	2.8
ICICI Prudential Equity & Debt	★★★★★	50,368	-3.3	-4.0	2.8	16.6	17.1	1.5
Edelweiss Aggressive Hybrid	★★★★	3,627	-2.0	-3.4	1.9	14.7	13.9	1.9
Kotak Aggressive Hybrid	★★★★	8,642	-1.5	-1.9	5.2	13.8	12.5	1.8
Mahindra Manulife Aggressive Hybrid	★★★★	2,264	-5.0	-6.6	-1.8	13.6	12.6	2.0
UTI Aggressive Hybrid	★★★★★	6,524	-4.1	-4.7	-0.5	13.6	12.9	1.9
Nippon India Aggressive Hybrid	★★★★	3,958	-3.7	-4.6	1.0	12.8	12.2	2.1
HDFC Children's	★★★★	10,152	-4.4	-7.1	-4.3	9.8	11.5	1.7
HDFC Retirement Savings	★★★★	1,616	-6.6	-8.4	-4.7	9.5	10.3	2.1
HYBRID: CONSERVATIVE (DEBT-ORIENTED)								
SBI Conservative Hybrid	★★★★	9,754	0.6	0.9	4.6	9.0	8.9	1.5
ICICI Prudential Regular Savings	★★★★★	3,289	-0.3	-0.3	3.8	9.4	8.4	1.7
Aditya Birla Sun Life Regular Savings	★★★★	1,479	-0.9	-0.3	3.5	8.2	8.0	1.8
Parag Parikh Conservative Hybrid	★★★★★	3,344	-0.9	0.6	3.0	10.0	–	0.6
HDFC Hybrid Debt	★★★★	3,261	-2.1	-1.9	-0.5	7.9	8.1	1.7
HYBRID: DYNAMIC ASSET ALLOCATION								
ICICI Prudential Balanced Advantage	★★★★	70,551	-2.7	-2.6	4.0	11.7	10.7	1.4
Aditya Birla Sun Life Balanced Advantage	★★★★	9,182	-1.3	-1.2	3.4	11.7	9.9	1.8
SBI Balanced Advantage	★★★★★	40,732	-2.7	-2.2	2.7	11.5	–	1.5
Nippon India Balanced Advantage	★★★★	9,620	-2.3	-2.8	2.0	11.1	9.7	2.0
HDFC Balanced Advantage	★★★★★	105,378	-4.7	-5.6	-0.8	14.6	15.5	1.3
DEBT: FLOATER								
Aditya Birla Sun Life Floating Rate	★★★★★	13,441	1.0	2.1	5.5	7.2	6.4	0.4
DEBT: BANKING AND PSU								
Bandhan Banking and PSU	★★★★	12,108	0.5	1.4	3.9	6.4	5.6	0.7
ICICI Prudential Banking & PSU Debt	★★★★★	9,144	0.2	1.0	3.9	6.8	6.1	0.7
Axis Banking & PSU Debt	★★★★	12,531	0.3	1.1	3.8	6.4	5.6	0.7
DEBT: SHORT TERM								
ICICI Prudential Short Term	★★★★★	21,450	0.5	1.5	4.6	7.0	6.3	1.1
Axis Short Duration	★★★★★	8,955	0.4	1.4	4.4	6.9	6.0	0.9
HDFC Short Term Debt	★★★★★	15,463	0.3	1.2	4.2	7.0	6.0	0.7
SBI Short Term Debt	★★★★	13,746	0.2	1.0	3.9	6.6	5.7	0.9
DEBT: CORPORATE BOND								
ICICI Prudential Corporate Bond	★★★★★	32,682	0.4	1.3	4.4	7.1	6.3	0.6
Axis Corporate Bond	★★★★	8,888	0.2	1.0	3.7	6.8	5.9	1.0
Kotak Corporate Bond	★★★★	16,877	0.0	0.8	3.5	6.8	5.9	0.7
Nippon India Corporate Bond	★★★★	8,246	0.1	0.8	3.3	6.8	6.2	0.8

10.4% THE 3-YEAR RETURN OF KOTAK EQUITY SAVINGS FUND IS THE HIGHEST IN ITS CATEGORY.

4.6% THE 1-YEAR RETURN OF SBI CONSERVATIVE HYBRID FUND IS THE HIGHEST IN ITS CATEGORY.

3.9% THE 1-YEAR RETURN OF BANDHAN BANKING & PSU FUND IS THE HIGHEST IN ITS CATEGORY.

Expense as on 30 April 2026
Returns as on 20 May 2026
Assets as on 30 April 2026
Rating as on 30 April 2026

All equity funds ranked on 3-year returns. Debt funds ranked on 1-year returns. Percentages rounded to one decimal place.

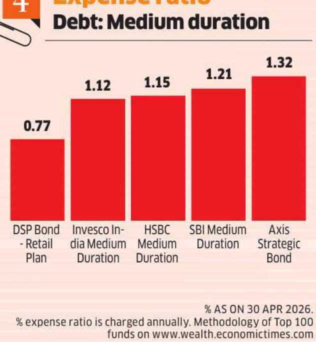
Did not find your fund here? Log on to www.wealth.economictimes.com for an exhaustive list.

1 Top 5 SIPs

2 Top 5 SWPs

3 Cash holding

4 Expense ratio



Methodology

The Top 100 includes only those funds that have a 5- or 4-star rating from Value Research. The rating of a fund vis-à-vis other funds in its category is determined by subtracting a fund's risk score from its return score. The resulting number is assigned stars according to the following distribution:

★★★★★ Top 10%
★★★★ Next 22.5%
★★★ Middle 35%
★★ Next 22.5%
★ Bottom 10%
(Not covered in ETW Funds 100 listing)

Debt funds with less than 18-months performance history and equity and hybrid funds with less than three-years performance track record are not rated. This ensures that all the funds have existed long enough to be tracked for consistency of performance. Given the focus on long-term investing, we have considered only the 'growth' plan of funds as it reinvests interim gains unlike 'IDCW' plan which offers periodic payouts to investors, thereby reducing NAV. The fund categories are:

Categories

Equity: Large-cap: Funds investing at least 80% in large cap stocks.

Equity: Large & MidCap: Funds investing at least 35% each in large and mid caps.

Equity: Flexi Cap: Funds investing at least 65% in equity with no particular cap on large, mid or small.

Equity: Mid Cap: Funds investing at least 65% in mid caps.

Equity: Small Cap: Funds investing at least 65% in small caps.

Equity: Value Oriented: Funds following value/contrarian investment strategy and grouped under 'Value' or 'Contra' categories as per SEBI.

ELSS: Equity: With a lock-in of three years and tax benefit under Section 80C.

Hybrid: Aggressive: Funds investing 65-80% in equity, and the rest in debt.

Hybrid: Conservative: Funds investing 10-25% in equity, and the rest in debt.

Hybrid: Equity Savings: Funds investing at least 65% in equity and equity related instruments, and at least 10% in debt.

Hybrid: Dynamic Asset Allocation: Funds which dynamically manage the asset allocation between equity and debt.

Debt: Short Duration: Funds with Macaulay duration between 1 and 3 years at the portfolio level.

Debt: Corporate Bond: Funds investing at least 80% in AA+ and above-rated corporate bonds.

Debt: Banking and PSU: Funds investing at least 80% in the debt instruments of banks, PSUs, public financial institutions and municipal bonds.

Debt: Floater: Funds investing at least 65% in floating-rate instruments.

FUND RAISER

65.5%

Year-on-year growth in the assets under management of multi-asset allocation funds between April 2025 and April 2026—the highest among hybrid fund sub-categories.

Source: AMFI

Q&A

Our panel of experts will answer questions related to any aspect of personal finance.

My son is an OCI card holder. We want to buy a property in Bengaluru. Should this be bought in his name or should we buy jointly with him, so that he can sell it later.– *Elwin Fernandez*

An Overseas Citizen of India (OCI) cardholder can legally purchase residential property in India in own name. For the smoothest exit, it is recommended that your son buys the property solely in his name, using funds from a Non-Resident External (NRE) account or through direct foreign remittance. This creates a clear foreign investment trail, allowing him to repatriate the original investment amount without the restrictions often associated with local Indian funds. While joint ownership with a resident Indian is possible for administrative ease, it can complicate the repatriation process. If the resident co-owner contributes to the payment, that portion of the sale proceeds becomes subject to the USD 1 million annual repatriation limit. When he eventually sells the property, he can repatriate the sale proceeds for up to two residential properties. Once taxes are settled and a chartered accountant provides the necessary Form 15CA and Form 15CB, he can freely remit the proceeds back to the US.

Vikash Jain
Co-founder, Share Samadhan

A 76-year-old wishes to make a one-time investment in the names of his grandchildren (aged 9 and 4). He would like the amount to be available to his grandson at 21 and to his granddaughter at 18. Please suggest suitable options that offer maximum returns. –*Muralidharan Subrahmanyam*

As a grandparent, you can invest in mutual funds for your grandchildren. In India, the process is well-defined but requires coordination with the parents who will act as guardians/custodians. You cannot claim an income tax deduction for investments made in the name of your grandchildren. The good news is that any amount of money gifted by grandparents to their grandchildren is exempt from gift tax. You have an investment time horizon of 12 to 14 years, which is long enough to take risk and maximise returns. You will not be able to maximise on the returns with minimal risk.

Here are 3 options for you: pure equity mutual funds portfolio consisting of 2-3 flexi cap funds (high risk, high returns); hybrid mutual funds portfolio consisting of 2-3 dynamic asset allocation funds (moderate risk, moderate returns); and, 50% pure equity and 50% hybrid mutual funds portfolio. Looking at the long-time horizon and since the money is for your grandchildren, my recommendation would be to go with the first option which will help in maximising the returns, but you can opt for either of the options you like.

Rushabh Desai
Founder, Rupee With Rushabh Investment Services

I purchased a plot in the area of a panchayat in 2003. The plot was officially registered in my name by the office of the concerned sub-registrar. Later, to my dismay,I discovered that the site is a part of 'prohibited land' and hence it can't be registered in the name of anyone else. Can I expect a feasible solution to this problem? – *Kunal Verma*

Section 22A of the Registration Act, 1908, allows state governments to prohibit the registration of documents relating to restricted properties. Through a notification published in the official gazette, the government can declare specific areas or properties as prohibited for registration in order to protect the environment, conserve heritage structures, safeguard strategic or security-sensitive zones, or ensure the safety of adjoining areas. When a property falls under the prohibited category, the sub-registrar is barred from registering sale, transfer, mortgage, lease, or related transaction concerning that property. You will need to comply with the directions and approvals specified by the notifying authority.

Rajat Dutta
Founder & Initiator, Inheritance Needs Services

Please send your queries to *etwealth@timesofindia.com*, mentioning your full name and city of residence.

RBI weighs measures including rate hike to stabilise rupee

The Reserve Bank of India (RBI) is considering all of its available options to stabilise the rupee, including an interest rate hike, more currency swaps and raising dollars from investors overseas, according to people familiar with the matter.

Top RBI officials, including Governor Sanjay Malhotra, have held a series of internal meetings to discuss the options available after the rupee plunged to a fresh low of almost 97 to a dollar last week, the people said, asking not to be identified because the discussions are private. One of the options on the table is raising the interest rates, one person said. The next scheduled monetary policy decision is on 5 June, although the RBI has previously made an out-of-cycle adjustment in May 2022.

Other measures include raising dollars overseas through a deposit scheme for non-resident Indians and selling a sovereign dollar bond, another person said. The latter would be decided by the government, the person said. Bonds swung to losses. The 5-year yield rose as much as 14 basis points to 7.01%, while the 10-year yield rose as much as five basis points to 7.13%. The rupee gained 0.5%, outperforming Asian peers.

The measures under consideration mirror some of those taken during the 2013 taper tantrum period. India provided a deposit scheme for non-residents through local banks at the time to spur foreign currency inflows. The RBI estimates the deposit schemes could draw as much as $50 billion this time around, according to one of the people, compared with about $30 billion previously.

The RBI could also issue more currency swaps, people familiar with the matter said. Last Wednesday, the RBI announced a $5 billion swap auction to infuse liquidity in the banking system and also boost the RBI's dollar reserves in the immediate term. The RBI didn't respond to an email seeking further information.

"RBI will need to go big," Rajiv Batra, JPMorgan's co-head for global emerging markets strategy, said in an interview with Bloomberg TV's Haslinda Amin. "Rather than using one single measure, you should use a plethora of measures, so that the hit is being taken across all the three asset classes," referring to equities, rates and the currency.

There is an increasing recognition among policymakers that the rupee is tumbling faster than anticipated, according to the people, who are familiar with the RBI's thinking. Policymakers are of the opinion that India's economic fundamentals remain strong and the banking system is sound, but that strength is not being reflected in the exchange rate, they said.

The top priority for the central bank now is to stop the depreciation of the currency, and the RBI is ready to do whatever it takes to achieve that, one of the people said.

Aberdeen Investments and MetLife Investment Management are among those that see the possibility of the rupee weakening to 100 per dollar. DBS Group Holdings has revised its forecast range to 95-100 from 90-95. The consensus estimate compiled by Bloomberg shows 94.75 by year-end, while the one-year dollar-rupee forward breached 100 for the first time on Wednesday.

Inflation pressure

Raising borrowing costs would help spur foreign bond inflows by widening the interest rate differential between the US and India, which has narrowed to over a decade low.

Investors have dumped Indian assets this year, with foreign fund outflows from stocks so far in 2026 surpassing last year's record $19 billion.

The RBI's six-member monetary policy committee is scheduled to meet 3-5 June. The committee has kept its benchmark rate unchanged at 5.25% this year, although most economists predict a hike in coming months as inflation accelerates.

Consumer-price growth remains below the RBI's 4% target, although pressure is building on retailers to pass on costs. Wholesale goods inflation more than doubled to 8.3% in April from the previous month, latest figures show.

A rate hike would also curb demand for imports of consumer electronic goods and gold, which the government has been trying to do.

Some economists said the RBI would likely opt for mobilising dollar deposits from Indians living overseas rather than increasing rates just yet.

—Bloomberg

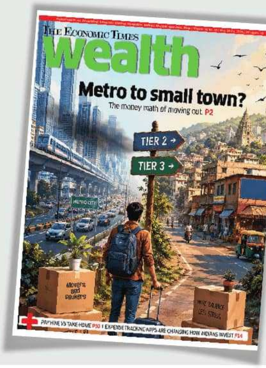
your feedback & more...

Apropos the cover story, metros offer lucrative job opportunities and decent standard of living to those who are educated and healthy. They should have good immune systems to withstand air pollution, which is a serious negative externality in cities such as Mumbai, Bengaluru and so on. A pollution-free environment is possible in smaller cities and can certainly help one save a lot of nominal income on medicines. Money saved, after all, is money earned.
S. Ramakrishnasayee

A very timely article for the youth struggling to take a call on continuing with their difficult lives in metros or choosing the relaxed environment of small towns. There are many towns/ growth cities in Maharashtra just a few hours away for any metro, such as Nashik, Kolhapur and Aurangabad (officially Chhatrapati Sambhajinagar) that are 3-4 hours away from Mumbai/ Pune. These towns have good infrastructure but overall lower cost of living. This is an opportunity to grow with the smaller cities and live a content life.
Ashish Chatterjee

Settling down small

The different statistics and visuals accompanying the story 'Should you quit your metro?' make for an interesting read. With the reduction in income of many Indian being adequately compensated by reduced cost-of-living, better environment and less traffic among others, relocating to tier 2/3 cities is quite attractive. Some major constraints, however, could be slightly inferior quality of education and healthcare infrastructure. Coastal Karnataka cities like Mangalore, Manipal and Udupi, though, are examples good places to settle down.
Hemanth D. Pai



With respect to the story 'The gold receipt that no one's buying,' the slow adoption of EGRs—despite being in the market for four years—says something about Indian investors' deep attachment to physical gold. EGRs are structurally sound: Sebi-regulated, demat-held, redeemable. Yet, trust remains thin. The issue is not the product, but the ecosystem. Until vault transparency improves, bid-ask spreads narrow, and brokers actively promote EGRs alongside gold ETFs, they will remain a solution looking for an audience. Sebi and AMCs must do more than just list them.
Abbharna Barathi

This appraisal season has turned unusually complex, as the story 'Beyond the hike: appraisal recheck' demonstrates. Higher EPF contributions, revised wage definitions, and new tax exemptions mean a pay hike may actually leave some employees with lower take-home than expected. Most salaried individuals are unprepared. Employers owe it to them to communicate the restructured CTC clearly, not just issue revised salary slips. A breakdown of where the increment goes is the least employees deserve.
K. Sakunthala

Apropos the 'Does the advisory layer justify the added costs?,' the MF-PMS proposition is appealing on paper—curated funds, disciplined rebalancing, behavioural hand-holding. But the cost math is unforgiving. When advisory fees stack on top of active fund expense ratios, the combined drag of 2–4% annually demands consistently superior selection to justify itself.
S.M. Jeeva

Please send your feedback to
etwealth@timesofindia.com

BACK TO BASICS

Delinquency vs default

If you are confused by personal finance terms, jargon and calculations, here's a series to simplify and deconstruct these for you. In the 104th part of this series, **Riju Mehta** explains the difference between the terms used for unpaid loans.

When you take a loan from a financial institution, you are expected to repay the amount as per the scheduled equated monthly instalments (EMIs) in the specified duration. If you miss the instalments, it can impact your borrowing record and credit score. Depending on the duration for which you miss repayments, a loan is classified as delinquent or a default, and as per the lender's classification, it's called a non-performing asset (NPA).

Delinquency

If you fail to pay even a single loan instalment by due date or make a late payment, the loan will be termed delinquent. The lender sends out reminders to the borrower and the status can usually be rectified by making the missed payment along with the applicable penalty or late fee. The lender contacts the credit bureaus if the delinquency continues and it can affect the borrower's credit rating slightly. Delinquency can be considered a red flag for future loan applications.

Default

If the borrower continues to miss multiple loan instalments over an extended period of time, usually more than 90 days, the delinquent status is changed to a default. This is a more serious situation and is not as easily rectified as a delinquent loan through payment of late fees. The lender initiates a formal loan recovery process. The rating also suffers more, with bigger cuts in credit score, and can impact future borrowings.

Non-performing asset (NPA)

This is a banking classification, and as per the Reserve Bank of India (RBI), a loan is considered a non-performing asset by the lending institution when it ceases to generate income for it. A loan is regarded as an NPA if the interest and/or principal remain overdue for more than 90 days. NPAs are classified into three categories depending on the duration for which the loan remains unpaid and the possibility of recovering it.
Sub-standard asset: When a loan remains unpaid for less than 12 months, it's considered a sub-standard asset. Though the risk remains, so does the likelihood of recovery with suitable action.
Doubtful asset: These are loans that remain unpaid for more than 12 months and pose a high risk to the lender since the chances of recovery remain very low.
Loss asset: These loans have negligible scope of being recovered by the lender and are typically written off.

Delinquency vs default

	Delinquency	Default
Duration	Missing an EMI for even a single day beyond the due date.	Missing multiple EMIs for over 90 days.
Lender action	Reminders, revived with late fee.	Formal/legal loan recovery action triggered.
Credit rating	Credit score slightly impacted.	Severe impact on creditworthiness.
Credit reporting	Reported to credit bureaus usually after 30 days.	Remains in credit report for up to seven years.

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The Wealth Company
MUTUAL FUND

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Like opening innings, long-term wealth can be built
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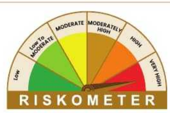
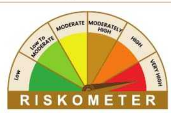
NFO Open Date	May 21, 2026	NFO Close Date	June 04, 2026

The Wealth Company Large & Mid Cap Fund

An open ended equity scheme investing in both large cap and mid cap stocks.

Riskometer and Product Label

This Product is suitable for investors who are seeking*:	Scheme Risk-o-meter	Benchmark Risk-o-meter NIFTY Large Midcap 250 TRI
• To generate long term capital appreciation / income . • Investment predominantly in large cap and mid cap stocks *Investors should consult their financial advisers if in doubt about whether the product is suitable for them.	 Risk of the Scheme is at Very High Risk	 The Risk of The Benchmark is very high

The above product labelling assigned during the New Fund Offer is based on internal assessment of the Scheme Characteristics or model portfolio and the same may vary post NFO when actual investments are made.

Contact us

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The Wealth Company Mutual Fund - SEBI Regn. No: MF/086/25/12